

Murray River Council

ANNUAL FINANCIAL STATEMENTS
for the year ended 30 June 2025



Murray River Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2025



Murray River Council

General Purpose Financial Statements

for the year ended 30 June 2025

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Overview

Murray River Council is constituted under the *Local Government Act 1993 (NSW)* and has its principal place of business at:

52 Perricoota Road
Moama NSW 2731

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.murrayriver.nsw.gov.au.

Murray River Council

General Purpose Financial Statements

for the year ended 30 June 2025

Statement by Councillors and Management made pursuant to Section 413(2)(c) of the *Local Government Act 1993* (NSW)

The attached General Purpose Financial Statements have been prepared in accordance with:

- the *Local Government Act 1993* (NSW) and the regulations made there under,
- the Australian Accounting Standards issued by the Australian Accounting Standards Board
- the Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these statements:

- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

We are not aware of any matter that would render this report false or misleading in any way.

Signed in accordance with a resolution of Council made on 28 October 2025.



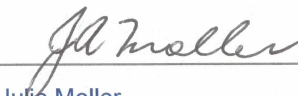
John Harvie
Mayor
28 October 2025



Neil Gorey
Councillor
28 October 2025



Stacy Williams
Chief Executive Officer
28 October 2025



Julie Moller
Responsible Accounting Officer
28 October 2025

Murray River Council

Income Statement

for the year ended 30 June 2025

Original unaudited budget 2025 \$ '000		Notes	Actual 2025 \$ '000	Actual 2024 \$ '000
Income from continuing operations				
24,528	Rates and annual charges	B2-1	25,070	21,553
12,015	User charges and fees	B2-2	14,112	12,940
1,182	Other revenue	B2-3	1,451	1,361
19,091	Grants and contributions provided for operating purposes	B2-4	18,571	20,156
11,808	Grants and contributions provided for capital purposes	B2-4	16,601	54,203
1,639	Interest and investment income	B2-5	3,204	3,025
1,128	Other income	B2-6	712	601
71,391	Total income from continuing operations		79,721	113,839
Expenses from continuing operations				
21,055	Employee benefits and on-costs	B3-1	22,576	21,180
26,470	Materials and services	B3-2	26,697	20,392
34	Borrowing costs	B3-3	252	348
1,100	Other expenses	B3-5	1,100	1,100
(3,016)	Net loss from the disposal of assets	B4-1	9,465	9,203
45,643	Total expenses from continuing operations excluding depreciation, amortisation and impairment of non-financial assets		60,090	52,223
25,748	Operating result from continuing operations excluding depreciation, amortisation and impairment of non-financial assets		19,631	61,616
20,344	Depreciation, amortisation and impairment of non-financial assets	B3-4	21,918	20,884
5,404	Operating result from continuing operations		(2,287)	40,732
5,404	Net operating result for the year attributable to Council		(2,287)	40,732
(6,404)	Net operating result for the year before grants and contributions provided for capital purposes		(18,888)	(13,471)

The above Income Statement should be read in conjunction with the accompanying notes.

Murray River Council

Statement of Comprehensive Income

for the year ended 30 June 2025

	Notes	2025 \$ '000	2024 \$ '000
Net operating result for the year – from Income Statement		(2,287)	40,732
Other comprehensive income:			
Amounts which will not be reclassified subsequent to operating result			
Gain / (loss) on revaluation of infrastructure, property, plant and equipment	C1-7	69,269	72,816
Other movements Revaluation Intangible Assets	C1-8	130	(36)
Total items which will not be reclassified subsequent to operating result		69,399	72,780
Total other comprehensive income for the year		69,399	72,780
Total comprehensive income for the year attributable to Council		67,112	113,512

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

Murray River Council

Statement of Financial Position

as at 30 June 2025

	Notes	2025 \$ '000	2024 \$ '000
ASSETS			
Current assets			
Cash and cash equivalents	C1-1	11,763	14,862
Investments	C1-2	49,572	43,205
Receivables	C1-4	14,027	14,995
Inventories	C1-5	519	497
Non-current assets classified as held for sale	C1-6	1,958	3,103
Other		2,216	1,544
Total current assets		80,055	78,206
Non-current assets			
Investments	C1-2	2	2
Receivables	C1-4	18	26
Infrastructure, property, plant and equipment (IPPE)	C1-7	1,155,407	1,089,528
Intangible assets	C1-8	8,082	12,089
Right of use assets	C2-1	498	359
Other		1,021	–
Total non-current assets		1,165,028	1,102,004
Total assets		1,245,083	1,180,210
LIABILITIES			
Current liabilities			
Payables	C3-1	12,542	10,168
Contract liabilities	C3-2	3,731	3,697
Lease liabilities	C2-1	253	180
Borrowings	C3-3	272	267
Employee benefit provisions	C3-4	4,867	4,249
Provisions	C3-5	313	–
Total current liabilities		21,978	18,561
Non-current liabilities			
Lease liabilities	C2-1	254	188
Borrowings	C3-3	1,150	1,422
Employee benefit provisions	C3-4	141	372
Provisions	C3-5	4,808	10,027
Total non-current liabilities		6,353	12,009
Total liabilities		28,331	30,570
Net assets		1,216,752	1,149,640
EQUITY			
Accumulated surplus	C4-1	784,181	786,468
IPPE revaluation surplus	C4-1	432,571	363,172
Council equity interest		1,216,752	1,149,640
Total equity		1,216,752	1,149,640

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Murray River Council

Statement of Changes in Equity

for the year ended 30 June 2025

	Notes	2025			2024		
		Accumulated surplus \$ '000	IPPE revaluation surplus \$ '000	Total equity \$ '000	Accumulated surplus \$ '000	IPPE revaluation surplus \$ '000	Total equity \$ '000
Opening balance at 1 July		786,468	363,172	1,149,640	745,736	290,356	1,036,092
Net operating result for the year		(2,287)	–	(2,287)	40,732	–	40,732
Other comprehensive income							
– Gain/(loss) on revaluation of IPP&E	C1-7	–	69,269	69,269	–	72,816	72,816
– Other movements (Revaluation Intangible Assets)	C1-8	–	130	130	–	–	–
Total comprehensive income		(2,287)	69,399	67,112	40,732	72,816	113,548
Closing balance at 30 June		784,181	432,571	1,216,752	786,468	363,172	1,149,640

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Murray River Council

Statement of Cash Flows

for the year ended 30 June 2025

Original unaudited budget 2025 \$ '000		Notes	Actual 2025 \$ '000	Actual 2024 \$ '000
Cash flows from operating activities				
Receipts:				
24,400	Rates and annual charges		24,989	21,251
12,015	User charges and fees		15,528	11,862
1,640	Interest received		2,985	2,496
34,213	Grants and contributions		26,780	41,212
–	Bonds, deposits and retentions received		–	665
1,070	Other		5,206	6,394
Payments:				
(20,959)	Payments to employees		(22,312)	(20,836)
(26,453)	Payments for materials and services		(28,253)	(23,795)
(34)	Borrowing costs		(252)	(338)
–	Bonds, deposits and retentions refunded		(285)	–
(1,100)	Other		(3,093)	1,348
24,792	Net cash flows from operating activities	G1-1	21,293	40,259
Cash flows used in investing activities				
Receipts:				
–	Sale of investments		–	35,624
–	Redemption of term deposits		–	6,739
–	Sale of real estate assets		–	662
4,237	Proceeds from sale of IPPE		1,680	1,471
–	Deferred debtors receipts		–	597
Payments:				
–	Purchase of investments		–	(35,624)
–	Acquisition of term deposits		(6,367)	–
(31,839)	Payments for IPPE		(19,211)	(37,313)
–	Purchase of real estate assets		–	(115)
–	Purchase of intangible assets		–	(3,563)
(27,602)	Net cash flows used in investing activities		(23,898)	(31,522)
Cash flows used in financing activities				
Payments:				
(267)	Repayment of borrowings		(267)	(971)
–	Principal component of lease payments		(227)	(170)
(267)	Net cash flows used in financing activities		(494)	(1,141)
(3,077)	Net change in cash and cash equivalents		(3,099)	7,596
7,760	Cash and cash equivalents at beginning of year		14,862	7,266
4,683	Cash and cash equivalents at end of year	C1-1	11,763	14,862
49,452	plus: Investments on hand at end of year	C1-2	49,574	43,207
54,135	Total cash, cash equivalents and investments		61,337	58,069

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Murray River Council

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A About Council and these financial statements

A1-1 Basis of preparation

These financial statements were authorised for issue by Council on 28 October 2025. Council has the power to amend and reissue these financial statements in cases where critical information is received from public submissions or where the OLG directs Council to amend financial statements.

The material accounting policy information related to these consolidated financial statements are set out below.

Accounting policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (Act)* and *Local Government (General) Regulations 2021*, and the Local Government Code of Accounting Practice and Financial Reporting.

Council is a not for-profit entity.

The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain infrastructure, property, plant and equipment and investment property.

Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- i. estimated fair values of infrastructure, property, plant and equipment – refer Note C1-6

Significant judgements in applying the Council's accounting policies

- i. Impairment of receivables – refer Note C1-4.
- ii. Determination of whether performance obligations are sufficiently specific and whether the contract is within the scope of AASB 15 *Revenue from Contracts with Customers* and / or AASB 1058 *Income of Not-for-Profit Entities* – refer to Notes B2-2 - B2-4.
- iii. Determination of the lease term, discount rate (when not impact in the lease) and whether an arrangement contains a lease - refer to Note C2-1.

Monies and other assets received by Council

The Consolidated Fund

In accordance with the provisions of Section 409(1) of the *Local Government Act 1993*, all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

This Consolidated Fund has been included in the financial statements of Murray River Council.

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

- General purpose operations
- Water service
- Sewerage service
- Waste service
- Moama Recreation Reserve S355 Management Committee
- Moama Lions Units S355 Management Committee

A1-1 Basis of preparation (continued)

- Mathoura Retirement Village S355 Management Committee.

All other operations of S355 Management Committees of the Council are immaterial and have not been disclosed as part of the consolidated fund.

The Trust Fund

In accordance with the provisions of Section 411 of the *Local Government Act 1993*, a separate and distinct Trust Fund is maintained to account for all money and property received by the Council in trust which must be applied only for the purposes of, or in accordance with, the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these reports.

A separate statement of monies held in the Trust Fund is available for inspection at the council office by any person free of charge.

Volunteer services

Council does not have a material dependence on volunteer services. Volunteers are mainly engaged via Section 355 committees. These services are not recognised as they are considered non-material in value.

New accounting standards and interpretations issued but not yet effective

Certain new accounting standards and interpretations have been published that are not mandatory for the 30 June 2025 reporting period. Council has not applied any pronouncements before its operative date in the annual reporting period beginning 1 July 2025.

As at the date of authorisation of these financial statements Council does not consider that any of these new (and still to be applied) standards and interpretations are likely to have a material impact on the Council's future financial statements, financial position, financial performance or cash flows.

List of new accounting standards and interpretation issued but not yet effective which may impact Council in future years are listed below:

- AASB 18 Presentation and Disclosure in Financial Statements (effective date, year ended 30 June 2029)
- AASB 2024-2 Amendments to Australian Accounting Standards - Classification and Measurement of Financial Instruments [AASB 7 and AASB 9] (effective date, year ended 30 June 2027)
- AASB 2024-3 Amendments to Australian Accounting Standards – Annual Improvements Volume 11 [AASB 1, AASB 7, AASB 9, AASB 10 and AASB 107] (effective date, year ended 30 June 2027)

New accounting standards adopted during the year

The following new standard is effective for the first time at 30 June 2025:

- AASB 2022-10 *Amendments to Australian Accounting Standards – Fair Value Measurement of Non-Financial Assets of Not-for-Profit Public Sector Entities*.

Council have reviewed the changes to AASB 2022-10 and Council's Valuers have applied the fair value methodology to their assets in accordance with accounting standard.

Council has considered the amendments to AASB 13 Fair Value Measurement that apply for the 2024-25 financial year as a result of AASB 2022-10 Amendments to Australian Accounting Standards - Fair Value Measurement of Non-Financial Assets of Not-for-Profit Public Sector Entities.

For assets, where the Council adopts a current replacement cost approach to determine fair value, the Council now considers the inclusion of site preparation costs, disruption costs and costs to restore another entity's assets in the underlying valuation.

- The AASB 13 amendments apply prospectively, comparative figures have not been restated.
- The AASB 13 amendments have not resulted in any material impacts to Council's financial statements.

Impact of NSW Floods

Council was impacted by floods in October through to December 2022. Council is currently actively engaged in restoration and reconstruction of infrastructure and assets damaged during the floods.

A thorough review of the assets and infrastructure with potential damage was conducted in FY23 resulting in estimated costs for restoration and reconstruction activities to be \$7,483,985. In the 2023 financial year we expended \$1,158,012, in the 2024

A1-1 Basis of preparation (continued)

financial year \$2,080,775 was expended, and \$677,376 was expended in the current year. There is approximately \$935,000 in planned restoration expenditure for the 2026 financial year.

The balance of \$2,633,822 is not likely to be spent, largely as the flood damage heavy patching program came under budget by 50% due to a competitive tender process (approx. \$1.8m), and restoration works of other low priority non-essential public assets were unable to be funded under Disaster Reconstruction Authority funding and will be restored over time through usual maintenance and repair programs.

B Financial Performance

B1 Functions or activities

B1-1 Functions or activities – income, expenses and assets

Income, expenses and assets have been directly attributed to the following functions or activities. Details of those functions or activities are provided in Note B1-2.

	Income		Expenses		Operating result		Grants and contributions		Carrying amount of assets	
	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000
Functions or activities										
Governance	28	9	175	1,959	(147)	(1,950)	–	–	–	–
Administration	3,501	1,222	11,267	12,762	(7,766)	(11,540)	2,867	402	61,196	44,572
Public order and safety	280	801	2,081	1,888	(1,801)	(1,087)	240	808	5,861	5,031
Health	21	30	103	180	(82)	(150)	–	–	–	1,107
Environment	13,043	11,133	8,246	7,683	4,797	3,450	3,585	3,641	28,918	39,366
Community Services and Education	1,853	4,643	2,878	2,308	(1,025)	2,335	1,538	4,186	21,489	19,134
Housing and Community amenities	724	681	1,232	1,627	(508)	(946)	9	42	10,060	8,430
Water supplies	10,808	11,182	7,087	5,946	3,721	5,236	1,870	3,488	94,442	92,981
Sewerage services	7,082	6,846	3,496	2,966	3,586	3,880	1,328	2,002	87,142	82,118
Recreation and culture	1,659	1,952	9,382	5,100	(7,723)	(3,148)	1,597	1,810	109,127	99,796
Mining, manufacturing and construction	1,148	692	2,575	1,521	(1,427)	(829)	240	36	1,423	2,458
Transport and communication	15,336	49,350	30,090	26,370	(14,754)	22,980	13,329	47,115	816,831	765,923
Economic affairs	1,976	1,659	3,396	2,797	(1,420)	(1,138)	1,001	867	8,594	19,294
General purpose income	22,262	23,639	–	–	22,262	23,639	7,568	9,962	–	–
Total functions and activities	79,721	113,839	82,008	73,107	(2,287)	40,732	35,172	74,359	1,245,083	1,180,210

B1-2 Components of functions or activities

Details relating to the Council's functions or activities as reported in B1-1 are as follows:

Governance

Includes costs relating to Council's role as a component of democratic government, including elections, members' fees and expenses, subscriptions to local authority associations, meetings of Council and policymaking committees, public disclosure (e.g. GIPA), and legislative compliance.

Administration

Includes corporate support and other support services, engineering works, business intelligence and any Council policy compliance.

Public order and safety

Includes Council's fire and emergency services levy, fire protection, emergency services, beach control, enforcement of regulations and animal control.

Health

Includes immunisation, food control, health centres etc.

Environment

Includes noxious plants and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage and stormwater management.

Community Services and Education

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration (excluding accommodation – as it is covered under 'housing and community amenities'); youth services; aged and disabled persons services; children's services, including family day care; child care; and other family and children services.

Housing and Community amenities

Includes public cemeteries; public conveniences; street lighting; town planning; other community amenities, including housing development and accommodation for families and children, aged persons, disabled persons, migrants and Indigenous persons.

Water supplies

Includes the provision and distribution of water to the towns within the boundary of the Council.

Sewerage services

Treatment of wastewater to the towns within the boundaries of the Council.

Recreation and culture

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; lakes; and other sporting, recreational and cultural services.

Mining, manufacturing and construction

Includes building control, quarries and pits, mineral resources, and abattoirs.

Transport and communication

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, and aerodromes.

Economic affairs

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; real estate development, management of Section 355 Committees and other business undertakings.

B1-2 Components of functions or activities (continued)

General purpose income

Includes rates and annual charges; non capital general purpose grants; interest on investments and interest on overdue rates and charges.

B2 Sources of income

B2-1 Rates and annual charges

	2025 \$ '000	2024 \$ '000
Ordinary rates		
Residential	6,265	5,674
Farmland	5,971	5,713
Business	1,065	991
Less: pensioner rebates (mandatory)	(299)	(292)
Rates levied to ratepayers	13,002	12,086
Pensioner rate subsidies received	165	160
Total ordinary rates	13,167	12,246
Annual charges (pursuant to s496, 496A, 496B, 501 & 611)		
Domestic waste management services	3,348	2,244
Stormwater management services	174	171
Water supply services	3,925	3,291
Sewerage services	4,406	3,523
Waste management services (non-domestic)	134	165
Less: pensioner rebates (mandatory)	(190)	(192)
Annual charges levied	11,797	9,202
Pensioner annual charges subsidies received:		
– Water	54	53
– Sewerage	52	51
– Domestic waste management	–	1
Total annual charges	11,903	9,307
Total rates and annual charges	25,070	21,553

Council has used 2022 year valuations provided by the NSW Valuer General in calculating its rates.

Material accounting policy information

Rates and annual charges are recognised as revenue at the beginning of the rating period to which they relate. Prepaid rates are recognised as a financial liability until the beginning of the rating period.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government Council area.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates and are recognised within the underlying revenue item based on their substance.

B2-2 User charges and fees

	2025 \$ '000	2024 \$ '000
User charges		
Domestic waste management services	1,348	1,069
Water supply services	3,681	3,313
Sewerage services	269	384
Waste management services (non-domestic)	4,073	3,509
Other	193	138
Total user charges	9,564	8,413
Fees		
(i) Fees – statutory and regulatory functions (per s608)		
Building regulation	611	419
Inspection services	1	–
Sub-division fees	244	167
Private works – section 67	49	59
Regulatory fees	3	–
Section 10.7 certificates (EP&A Act)	65	67
Section 603 certificates	57	55
Tapping fees	128	90
Town planning	699	646
Other	28	22
Health control	14	13
Animal control	8	21
Total fees – statutory/regulatory	1,907	1,559
(ii) Fees – other (incl. general user charges (per s608))		
Aged care	290	403
Caravan park	–	74
Cemeteries	170	149
Leaseback fees – Council vehicles	111	102
Library and art gallery	–	1
Park rents	10	4
Transport for NSW works (state roads not controlled by Council)	1,856	2,116
Public halls	42	12
Recreational grounds / swimming pools / libraries	66	42
Special meter reading	28	23
Other	68	42
Total fees – other	2,641	2,968
Total other fees	4,548	4,527
Total user charges and fees	14,112	12,940
Timing of revenue recognition for user charges and fees		
User charges and fees recognised over time	9,564	8,413
User charges and fees recognised at a point in time	4,548	4,527
Total user charges and fees	14,112	12,940

Material accounting policy information

Revenue arising from user charges and fees is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

The performance obligation relates to the specific services which are provided to the customers and generally the payment terms are within 30 days of the provision of the service or in some cases such as caravan parks, the customer is required to pay on arrival or a deposit in advance. There is no material obligation for Council in relation to refunds or returns.

Where an upfront fee is charged such as joining fees for the leisure centre the fee is recognised on a straight-line basis over the expected life of the membership. Licences granted by Council are all either short-term or low value and all revenue from licences is recognised at the time that the licence is granted rather than over the term of the licence.

B2-3 Other revenue

	2025 \$ '000	2024 \$ '000
Aboriginal communities program	136	100
Commissions and agency fees	319	302
Diesel rebate	16	1
Energy Certificates	—	—
Fines	10	12
Insurance claims / rebates	157	78
Legal fees recovery – other	43	—
Legal fees recovery – rates and charges (extra charges)	26	87
OLG Rebate	—	—
Recycling income (non-domestic)	44	—
Sponsorship Funding	—	158
Ticket Sales	463	211
Traineeship Subsidy	4	—
Water meter rents / sundry income	86	118
Water temporary licence sales	86	79
Other	61	215
Total other revenue	1,451	1,361

Timing of revenue recognition for other revenue

Other revenue recognised at a point in time	1,451	1,361
Total other revenue	1,451	1,361

Material accounting policy information for other revenue

Where the revenue is earned for the provision of specified goods / services under an enforceable contract, revenue is recognised when or as the obligations are satisfied.

Statutory fees and fines are recognised as revenue when the service has been provided, the payment is received or when the penalty has been applied, whichever occurs first.

Other revenue is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

B2-4 Grants and contributions

	Operating 2025 \$ '000	Operating 2024 \$ '000	Capital 2025 \$ '000	Capital 2024 \$ '000
General purpose grants and non-developer contributions (untied)				
General purpose (untied)				
Current year allocation				
Financial assistance – general component	1,130	366	–	–
Financial assistance – local roads component	599	174	–	–
Payment in advance - future year allocation				
Financial assistance – general component	3,797	6,135	–	–
Financial assistance – local roads component	2,041	3,288	–	–
Amount recognised as income during current year	7,567	9,963	–	–
Special purpose grants and non-developer contributions (tied)				
Cash contributions				
Aged care	1,100	1,207	–	–
Bushfire and emergency services	240	190	–	560
Economic development	947	790	1	3,520
Library – per capita	103	103	–	–
Noxious weeds	157	148	–	–
NSW rural fire services	–	58	–	–
Recreation and culture	146	–	(48)	149
Storm/flood damage	1,165	961	–	2,763
Planning	–	40	–	–
Energy fuel rebate scheme	204	170	–	–
Waste management	(31)	55	–	–
River access	–	–	973	6
Street lighting	57	51	–	–
Youth services	42	34	–	–
Stronger communities fund	–	–	279	1,074
Transport (roads to recovery)	2,117	2,445	–	–
Transport (other roads and bridges funding)	1,546	736	2,423	3,255
Other specific grants	22	22	–	–
Roads and bridges	27	–	1,007	8,899
Transport for NSW contributions (Block grant Regional, Urban and Rural roads)	2,836	2,932	–	126
Sewerage (excl. section 64 contributions)	–	–	107	78
Water supplies (excl. section 64 contributions)	–	–	9	14
Other contributions	34	46	303	–
S355 committees	117	33	–	(576)
Transport (road safety officer)	175	88	–	–
Waste management	–	84	–	–
Total special purpose grants and non-developer contributions – cash	11,004	10,193	5,054	19,868
Non-cash contributions				
Roads and bridges	–	–	–	21,928
Total other contributions – non-cash	–	–	–	21,928
Total special purpose grants and non-developer contributions (tied)	11,004	10,193	5,054	41,796
Total grants and non-developer contributions	18,571	20,156	5,054	41,796

B2-4 Grants and contributions (continued)

	Operating 2025 \$ '000	Operating 2024 \$ '000	Capital 2025 \$ '000	Capital 2024 \$ '000
Comprising:				
– Commonwealth funding	10,540	13,369	3,340	45
– State funding	7,880	6,711	1,597	20,385
– Other funding	151	76	117	21,366
	18,571	20,156	5,054	41,796

Developer contributions

	Operating 2025 \$ '000	Operating 2024 \$ '000	Capital 2025 \$ '000	Capital 2024 \$ '000
Notes				
Developer contributions: (s7.4 & s7.11 - EP&A Act, s64 of the LGA):				
Cash contributions				
S 7.11 – contributions towards amenities/services	–	–	555	781
S 7.12 – fixed development consent levies	–	–	235	235
S 64 – water supply contributions	–	–	430	982
S 64 – sewerage service contributions	–	–	265	427
Total developer contributions – cash	–	–	1,485	2,425
Non-cash contributions				
S 7.11 – contributions towards amenities/services	–	–	3,903	3,092
S 64 – water supply contributions	–	–	1,655	2,492
S 64 – sewerage service contributions	–	–	957	1,497
S 64 – stormwater contributions	–	–	3,038	2,901
Other developer/other contributions	–	–	509	–
Total developer contributions non-cash	–	–	10,062	9,982
Total developer contributions	–	–	11,547	12,407
Total grants and contributions	18,571	20,156	16,601	54,203
Timing of revenue recognition				
Grants and contributions recognised over time	4,104	1,651	4,833	10,066
Grants and contributions recognised at a point in time	14,467	18,505	11,768	44,137
Total grants and contributions	18,571	20,156	16,601	54,203

B2-4 Grants and contributions (continued)

Unspent grants and contributions

Certain grants and contributions are obtained by Council on the condition they be spent in a specified manner or in a future period but which are not yet spent in accordance with those conditions are as follows:

	Operating 2025 \$ '000	Operating 2024 \$ '000	Capital 2025 \$ '000	Capital 2024 \$ '000
Unspent grants				
Unspent funds at 1 July	8,448	7,497	3,981	5,594
Add: Funds recognised as revenue in the reporting year but not yet spent in accordance with the conditions	–	2,157	–	–
Add: Funds received and not recognised as revenue in the current year	106	57	582	1,089
Less: Funds recognised as revenue in previous years that have been spent during the reporting year	(3,660)	(1,082)	(314)	(187)
Less: Funds received in prior year but revenue recognised and funds spent in current year	(36)	(181)	(1,088)	(2,515)
Unspent funds at 30 June	4,858	8,448	3,161	3,981

Material accounting policy information

Grants and contributions – enforceable agreement with sufficiently specific performance obligations

Grant and contribution revenue from an agreement which is enforceable and contains sufficiently specific performance obligations is recognised as or when control of each performance obligations is transferred.

The performance obligations vary according to the agreement but include milestones within AASB 15 grants. Payment terms vary depending on the terms of the grant, cash is received upfront for some grants and on the achievement of certain payment milestones for others.

Performance obligations may be satisfied either at a point in time or over time and this is reflected in the revenue recognition pattern. Point in time recognition occurs when the beneficiary obtains control of the goods / services at a single time (e.g. completion of the project when a report / outcome is provided), whereas over time recognition is where the control of the services is ongoing throughout the project (e.g. provision of community health services through the year).

Where control is transferred over time, generally the input methods being either costs or time incurred are deemed to be the most appropriate methods to reflect the transfer of benefit.

Capital grants

Capital grants received by Council under an enforceable contract for the acquisition or construction of infrastructure, property, plant and equipment to identified specifications which will be under Council's control on completion are recognised as revenue as and when the obligation to construct or purchase is completed.

For construction projects, this is generally as the construction progresses in accordance with costs incurred since this is deemed to be the most appropriate measure of the completeness of the construction project.

For acquisitions of assets, the revenue is recognised when the asset is acquired and controlled by the Council.

Developer contributions

Council has obligations to provide facilities from contribution revenues levied on developers under the provisions of sections 7.4, 7.11 and 7.12 of the *Environmental Planning and Assessment Act 1979* (EP&A Act).

While Council generally incorporates these amounts as part of a Development Consents Order, such developer contributions are only recognised as income upon receipt by Council, due to the possibility that individual development consents may not be acted upon by the applicant and, accordingly, would not be payable to Council.

B2-4 Grants and contributions (continued)

Developer contributions may only be expended for the purposes for which the contributions were required, but Council may apply contributions according to the priorities established in work schedules for the contribution plan.

Other grants and contributions

Assets, including cash, received from other grants and contributions are recognised at fair value when the asset is received. Council considers whether there are any related liability or equity items associated with the asset which are recognised in accordance with the relevant accounting standard.

Once the assets and liabilities have been recognised then income is recognised for any remaining asset value at the time that the asset is received.

B2-5 Interest and investment income

	2025 \$ '000	2024 \$ '000
Interest on financial assets measured at amortised cost		
– Overdue rates and annual charges (incl. special purpose rates)	343	259
– Cash and investments	2,858	2,768
– Deferred debtors	2	(2)
– Dividend income (other)	1	–
Total interest and investment income	3,204	3,025

B2-6 Other income

	Notes	2025 \$ '000	2024 \$ '000
Rental income			
Other lease income			
Caravan parks		484	338
Room/Facility Hire		193	127
Other (vacant land, council owned staff housing, retirement units)		35	136
Total other lease income		712	601
Total rental income	C2-2	712	601
Total other income		712	601

B3 Costs of providing services

B3-1 Employee benefits and on-costs

	2025 \$ '000	2024 \$ '000
Salaries and wages	17,742	16,483
Employee termination costs	243	473
Employee leave entitlements (ELE)	2,835	2,597
Superannuation	2,167	1,907
Workers' compensation insurance	911	1,326
Fringe benefit tax (FBT)	190	138
Payroll tax	55	(1)
Other	113	114
Total employee costs	24,256	23,037
Less: capitalised costs	(1,680)	(1,857)
Total employee costs expensed	22,576	21,180

Material accounting policy information

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note E3-1 for more information.

B3-2 Materials and services

	Notes	2025 \$ '000	2024 \$ '000
Raw materials and consumables		7,513	3,082
Contractor costs		491	2,132
Planning Consultants		463	484
Waste, Transfer Station & Recycling Collections Contractors		2,530	2,864
IT Maintenance & Support Contractors		401	—
IT Software Licences		1,170	503
IT Cloud Contract and Managed Services		1,330	1,336
Road & Bridges Contractors		3,212	2,068
Water Supply Contractors		241	134
Sewer Services Contractors		208	128
Building Service & Maintenance Contractors		1,205	1,254
Plant Fleet Contractors		5	25
Swimming Pool Contractors		287	288
Floodplain Management Contractors		155	120
Asset Management Contractors		356	96
Organisational Service Consultants		266	612
Economic Development Services Contractors		1,339	—
Audit Fees	F2-1	103	100
Councillor and Mayoral fees and associated expenses	F1-2	346	337
Advertising		284	426
Bank charges		76	21
Election expenses		117	—
Electricity and heating		1,205	1,195
Insurance		1,266	1,156
Postage/freight		84	74
Printing and stationery		92	69
Street lighting		191	155
Subscriptions and publications		359	425
Telephone and communications		201	192
Valuation fees		161	114
Travel expenses		137	76
Training costs (other than salaries and wages)		324	265
Other expenses		115	37
Vehicle registrations		195	187
Legal expenses:			
– Legal expenses: planning and development		17	55
– Legal expenses: debt recovery		65	64
– Legal expenses: other		96	102
Leases expense:			
Expenses from short-term leases		60	180
Other		31	36
Total materials and services		26,697	20,392

B3-3 Borrowing costs

	Notes	2025 \$ '000	2024 \$ '000
(i) Interest bearing liability costs			
Interest on leases		16	11
Interest on loans		34	41
Total interest bearing liability costs		50	52
Total interest bearing liability costs expensed		50	52
(ii) Other borrowing costs			
Fair value adjustments on recognition of advances and deferred debtors			
– Remediation liabilities	C3-5	202	296
Total other borrowing costs		202	296
Total borrowing costs expensed		252	348

B3-4 Depreciation, amortisation and impairment of non-financial assets

	Notes	2025 \$ '000	2024 \$ '000
Depreciation and amortisation			
Plant and equipment		2,468	3,079
Office equipment		244	477
Furniture and fittings		3	44
Land improvements (depreciable)		14	1
Infrastructure:			
	C1-7		
– Buildings – non-specialised		525	435
– Buildings – specialised		1,449	704
– Other structures		1,915	1,618
– Roads		8,273	7,911
– Bridges		1,320	1,313
– Footpaths		230	215
– Stormwater drainage		936	776
– Water supply network		1,700	1,559
– Sewerage network		1,109	1,049
– Swimming pools		92	86
Right of use assets	C2-1	227	178
Other assets:			
– Library books		–	56
– Other		235	55
Reinstatement, rehabilitation and restoration assets:			
– Tip assets	C1-7	863	962
– Quarry assets	C1-7	315	82
Intangible assets	C1-8	–	284
Total gross depreciation and amortisation costs		21,918	20,884
Total depreciation and amortisation costs		21,918	20,884
Total depreciation, amortisation and impairment for non-financial assets		21,918	20,884

Material accounting policy information

Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives.

Impairment of non-financial assets

Council assets held at fair value that are not held primarily for their ability to generate net cash flow, and that are deemed to be specialised, are not tested for impairment since these assets are assessed on an annual basis to ensure that the carrying amount is not materially different from fair value and therefore an impairment loss would be captured during this assessment.

Intangible assets not yet available for use, are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired.

Other non-financial assets that do not meet the criteria above are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

Impairment losses for revalued assets are firstly offset against the amount in the revaluation surplus for the class of asset, with only the excess to be recognised in the Income Statement.

B3-5 Other expenses

	Notes	2025 \$ '000	2024 \$ '000
Impairment of receivables			
User charges and fees		103	53
Total impairment of receivables	C1-4	103	53
Other			
Contributions/levies to other levels of government		84	98
Emergency services levy (includes FRNSW, SES, and RFS levies)		92	104
NSW rural fire service levy		625	635
Other		3	–
Donations, contributions and assistance to other organisations (Section 356)		193	210
Total other		997	1,047
Total other expenses		1,100	1,100

B4 Gains or losses

B4-1 Gain or loss from the disposal, replacement and de-recognition of assets

	Notes	2025 \$ '000	2024 \$ '000
Gain on disposal of plant and equipment	C1-7		
Proceeds from disposal		667	1,178
Less: carrying amount of assets sold/written off		(474)	(816)
Gain on disposal		193	362
Loss on disposal of infrastructure	C1-7		
Proceeds from disposal		—	—
Less: carrying amount of assets written off		(6,616)	(8,498)
Loss on disposal		(6,616)	(8,498)
Gain on disposal of real estate assets held for sale	C1-5		
Proceeds from disposal		—	662
Less: carrying amount of assets sold		—	(430)
Gain on disposal		—	232
Gain (or loss) on disposal of non-current assets classified as 'held for sale'	C1-6		
Proceeds from disposal		1,013	—
Less: carrying amount of assets sold		(1,145)	—
Gain (or loss) on disposal		(132)	—
Loss on disposal of intangible assets	C1-8		
Proceeds from disposal		—	—
Less: carrying amount of assets written off		(4,329)	(1,592)
Loss on disposal		(4,329)	(1,592)
Other - Remediation Provisions			
Gain on provision adjustments		1,419	293
Gain on remediation provisions		1,419	293
Net Loss from disposal of assets		(9,465)	(9,203)

B5 Performance against budget

B5-1 Material budget variations

Council's original budget was adopted by the Council on 25 June 2024 and is not required to be audited. The original projections on which the budget was based have been affected by a number of factors. These include state and federal government decisions, including new grant programs, changing economic activity, environmental factors, and by decisions made by Council.

While these General Purpose Financial Statements include the original budget adopted by Council, the Act requires Council to review its financial budget on a quarterly basis, so it is able to manage the variation between actuals and budget that invariably occur during the year.

Material variations of more than 10% between original budget and actual results or where the variance is considered material by nature are explained below.

Variation Key: **F** = Favourable budget variation, **U** = Unfavourable budget variation.

\$ '000	2025 Budget	2025 Actual	2025 ----- Variance -----	
Revenues				
Rates and annual charges	24,528	25,070	542	2% F
User charges and fees	12,015	14,112	2,097	17% F
Dry conditions over the 2025 financial year led to an increase in water usage of \$924k. New development across the LGA led to an increase in subdivision, town planning and building regulation fees of \$477k, compared to a conservative development growth assumption in the Original Budget. Waste facilities, particularly the new Automated Depot shed, were very well attended across the year, resulting in an additional \$355k in revenue. Hire of Council facilities and cemetery also increased on the prior year, resulting in a favourable budget variance of \$134k.				
Other revenue	1,182	1,451	269	23% F
Increases in other revenue included temporary water sales not budgeted for \$86k, scrap metal prices being higher than anticipated resulting in a favourable \$44k variance, \$59k received in Economic Development contributions not budgeted for, \$110k in insurance recoveries, \$104k water and sewer additional revenue through communities and \$21k additional bridge lift revenue, all of which was partially offset by an unfavourable variance in ticket sales and sponsorship revenue due to the cancellation of Moama Lights.				
Operating grants and contributions	19,091	18,571	(520)	(3)% U
Capital grants and contributions	11,808	16,601	4,793	41% F
Disaster Relief Funding of \$1.98m was budgeted for but not required due to contracts coming in under budget. Tooranie Bridge funding of \$1.46m was budgeted for but unable to be recognised due to delayed construction due to riverbed conditions. Other smaller budgeted grants had no successful opportunities during the year, such as the public amenities and solar panel projects. These unfavourable variances were all offset by a significant increase in non-cash developer contributions received during the year.				
Interest and investment revenue	1,639	3,204	1,565	95% F
Official cash rates remained higher than anticipated in the 2025 financial year, also leading to a competitive term deposit market, resulting in better return on funds. More funds than had been anticipated were also invested during the year, as a reduction in the capital program across the year led to less need to have as much cash uninvested and readily available.				
Other income	1,128	712	(416)	(37)% U
Council ceased to provide staff housing during the financial year, resulting in a drop in lease income from staff, as well as the reduction of the associated expense. Additionally, it was discovered that some lease revenue relating to caravan parks had been erroneously included in the original budget twice.				

B5-1 Material budget variations (continued)

\$ '000	2025 Budget	2025 Actual	2025 ----- Variance -----	
Expenses				
Employee benefits and on-costs	21,055	22,576	(1,521)	(7)% U
Materials and services	26,470	26,697	(227)	(1)% U
Borrowing costs	34	252	(218)	(641)% U
During the year Council undertook a revaluation of landfill rehabilitation and gravel pit rehabilitation costs. As these costs are recognised over the life of the asset, rather than upon closure, this resulted in an uplift in the associated embedded borrowing cost component, which was not originally budgeted for.				
Depreciation, amortisation and impairment of non-financial assets	20,344	21,918	(1,574)	(8)% U
Other expenses	1,100	1,100	–	0% F
Net losses from disposal of assets	(3,016)	9,465	(12,481)	414% U

Several council properties held as real estate for sale that were expected to settle in the 2025 financial year have not settled until early in the 2026 financial year, including the Mathoura Line Road and Moulamein properties. Properties that did settle during the year did not achieve expected prices based on market valuations. Additionally, Council undertook a review of intangibles (refer note C1-8), resulting in an unbudgeted \$4.3m write off. A review of Council's aquatic facilities was also undertaken, resulting in a further unbudgeted write off of \$1.3m.

Statement of cash flows

Cash flows from operating activities	24,792	21,293	(3,499)	(14)% U
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Grants and contributions received were down as per the operating variance above, along with the Financial Assistance Grant which was budgeted to receive 85% in advance as per the prior year, however only 50% was received in advance, resulting in approx \$2.7m variance. This was further skewed by the large value of non-cash developer contributions.

Cash flows from investing activities	(27,602)	(23,898)	3,704	(13)% F
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Council's capital program was reduced during the year due to delays on projects including construction of Tooranie Bridge, the Meninya Street redevelopment and the purchase of land for water and sewer treatment plant upgrades. As cash was not required to fund these projects, additional cash was invested in term deposits and has partially offset the capital reduction. Additionally, Council received less funds than anticipated on the sale of property, plant & equipment, as per the operating variance above.

Cash flows from financing activities	(267)	(494)	(227)	85% U
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During the year, Council entered into a new lease for waste compactor, which was not budgeted for.

C Financial position

C1 Assets we manage

C1-1 Cash and cash equivalents

	2025 \$ '000	2024 \$ '000
Cash assets		
Cash on hand and at bank	11,763	14,862
Total cash and cash equivalents	11,763	14,862
 Reconciliation of cash and cash equivalents		
Total cash and cash equivalents per Statement of Financial Position	11,763	14,862
Balance as per the Statement of Cash Flows	11,763	14,862

C1-2 Financial investments

	2025 Current \$ '000	2025 Non-current \$ '000	2024 Current \$ '000	2024 Non-current \$ '000
Debt securities at amortised cost				
Long term deposits	49,572	–	43,205	–
Total	49,572	–	43,205	–
Equity securities at FVOCI				
Unlisted equity securities	–	2	–	2
Total	–	2	–	2
Total financial investments	49,572	2	43,205	2
Total cash assets, cash equivalents and investments	61,335	2	58,067	2

Material accounting policy information

No strategic investments were disposed of during 2025, and there were no transfers of any cumulative gain or loss within equity relating to these investments.

On initial recognition, all financial instruments are measured at fair value plus transaction costs (except for instruments measured at fair value through profit or loss where transaction costs are expensed as incurred).

Financial assets

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification

On initial recognition, Council classifies its financial assets into the following categories – those measured at:

- amortised cost
- fair value through profit and loss (FVTPL)
- fair value through other comprehensive income – equity instrument (FVOCI-equity)

Financial assets are not reclassified subsequent to their initial recognition.

Amortised cost

Council's financial assets measured at amortised cost comprise trade and other receivables, term deposits and cash and cash equivalents in the Statement of Financial Position. Term deposits with an initial term of more than 3 months are classified as investments rather than cash and cash equivalents.

Subsequent to initial recognition, these assets are carried at amortised cost using the effective interest rate method less provision for impairment.

Interest income, impairment and gains or loss on de-recognition are recognised in profit or loss.

C1-3 Restricted and allocated cash, cash equivalents and investments

	2025 \$ '000	2024 \$ '000
(a) Externally restricted cash, cash equivalents and investments		
Total cash, cash equivalents and investments	61,337	58,069
Less: Externally restricted cash, cash equivalents and investments	(48,948)	(44,402)
Cash, cash equivalents and investments not subject to external restrictions	12,389	13,667
External restrictions		
External restrictions – included in liabilities		
External restrictions included in cash, cash equivalents and investments above comprise:		
Specific purpose unexpended grants – general fund	3,594	3,697
Specific purpose unexpended grants – water fund	87	–
Specific purpose unexpended grants – sewer fund	50	–
External restrictions – included in liabilities	3,731	3,697
External restrictions – other		
External restrictions included in cash, cash equivalents and investments above comprise:		
Developer contributions – general	5,640	4,594
Developer contributions – water fund	2,333	1,793
Developer contributions – sewer fund	2,523	2,137
Specific purpose unexpended grants (recognised as revenue) – general fund	4,289	8,732
Water fund	6,248	3,963
Sewer fund	18,330	15,992
Special levies – land and water management	135	135
Waste fund	5,655	3,295
Other	64	64
External restrictions – other	45,217	40,705
Total external restrictions	48,948	44,402

Cash, cash equivalents and investments subject to external restrictions are those which are only available for specific use by Council due to a restriction placed by legislation or third-party contractual agreement.

C1-3 Restricted and allocated cash, cash equivalents and investments (continued)

	2025	2024
	\$ '000	\$ '000
(b) Internal allocations		
Cash, cash equivalents and investments not subject to external restrictions	12,389	13,667
Less: Internally restricted cash, cash equivalents and investments	(10,834)	(9,090)
Unrestricted and unallocated cash, cash equivalents and investments	1,555	4,577

Internal allocations

At 30 June, Council has internally allocated funds to the following:

Plant and vehicle replacement	3,661	616
Employees leave entitlement	1,503	1,449
Carry over works	1,684	2,157
Community Services	290	290
Town improvements	200	200
Sand/gravel pit restorations	42	369
Parks, halls and reserves	345	286
Office equipment	–	179
Stormwater drainage	101	101
Recreation and culture	65	265
Bush fire services	45	45
Roads	679	679
Retirement village	1,450	1,338
Levee bank	142	340
Technology OneCouncil	14	14
Economic	69	189
Cemetery	81	81
Caravan park	242	242
Buildings	197	226
Other	24	24
Total internal allocations	10,834	9,090

Cash, cash equivalents and investments not subject to external restrictions may be internally allocated by resolution or policy of the elected Council.

C1-4 Receivables

	2025 Current \$ '000	2025 Non-current \$ '000	2024 Current \$ '000	2024 Non-current \$ '000
Rates and annual charges	3,089	–	2,592	–
Interest and extra charges	421	–	423	–
User charges and fees	5,230	–	5,882	–
Accrued revenues				
– Interest on investments	1,164	–	943	–
– Other income accruals	819	–	–	–
Government grants and subsidies	2,757	–	4,119	–
Loans to non-profit organisations	9	18	9	26
Net GST receivable	692	–	1,117	–
Other debtors	122	–	83	–
Total	14,303	18	15,168	26
Less: provision for impairment				
Rates and annual charges	(195)	–	(112)	–
Other debtors	(81)	–	(61)	–
Total provision for impairment – receivables	(276)	–	(173)	–
Total net receivables	14,027	18	14,995	26

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Impairment

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

When estimating ECL, Council considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

Council uses the simplified approach for trade receivables where the expected lifetime credit losses are recognised on day 1.

When considering the ECL for rates and annual charges debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold.

Credit losses are measured at the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

Council writes off a receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 3 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

C1-5 Inventories

	2025 Current \$ '000	2025 Non-current \$ '000	2024 Current \$ '000	2024 Non-current \$ '000
(i) Inventories at cost				
Stores and materials	519	–	497	–
Total inventories at cost	519	–	497	–
Total inventories	519	–	497	–

Material accounting policy information

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

C1-6 Non-current assets classified as held for sale

	2025 Current \$ '000	2025 Non-current \$ '000	2024 Current \$ '000	2024 Non-current \$ '000
Non-current assets held for sale				
Land	1,958	–	2,630	–
Buildings	–	–	473	–
Total non-current assets held for sale	1,958	–	3,103	–

Details of assets held for sale

Council has two properties on their asset books which have signed contracts in place for the sale of these properties. Both properties are expected to settle during 2025-2026 year.

Material accounting policy information

Non-current assets are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continued use and are measured at the lower of their carrying amount and fair value less costs to sell.

Non-current assets are not depreciated or amortised while they are classified as held for sale.

C1-7 Infrastructure, property, plant and equipment

By aggregated asset class	At 1 July 2024			Asset movements during the reporting period										At 30 June 2025		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions	Re-measuremen t of asset remediation provision	Carrying value of disposals	Depreciation expense	WIP transfers	Adjustments and transfers	Developer / Other contribution	Revaluation decrements to equity (ARR)	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	
	Renewals ¹	new assets														
	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	
Capital work in progress	19,044	–	19,044	13,516	5,695	–	–	–	(17,224)	–	–	–	21,031	–	21,031	
Plant and equipment	24,435	(12,538)	11,897	–	–	–	(474)	(2,468)	2,502	–	–	(988)	23,540	(13,071)	10,469	
Office equipment	2,436	(2,046)	390	–	–	–	(184)	(244)	76	–	–	–	827	(789)	38	
Furniture and fittings	765	(156)	609	–	–	–	(504)	(3)	–	–	–	–	112	(10)	102	
Land:																
– Operational land	24,597	–	24,597	–	–	–	–	–	–	–	214	–	3,465	–	28,276	
– Community land	64,722	–	64,722	–	–	–	–	–	–	–	97	–	7,195	–	72,014	
– Land under roads (post 30/6/08)	–	–	–	–	–	–	–	–	–	–	172	–	12,006	–	12,178	
– Land improvements – depreciable	12,895	(270)	12,625	–	–	–	–	(14)	–	–	–	–	1,386	(316)	13,997	
Infrastructure:																
– Buildings – non-specialised	26,531	(7,305)	19,226	–	–	–	(150)	(525)	137	(276)	–	–	410	(9,640)	19,111	
– Buildings – specialised	68,707	(23,042)	45,665	–	–	–	(75)	(1,449)	3,607	(62)	–	–	11,947	(27,672)	59,344	
– Other structures	42,969	(15,297)	27,672	–	–	–	(1,690)	(1,915)	868	338	338	–	2,559	(18,243)	28,170	
– Roads	531,912	(145,877)	386,035	–	–	–	(2,238)	(8,273)	4,354	–	2,675	–	14,030	(158,447)	396,583	
– Bridges	143,163	(28,319)	114,844	–	–	–	(427)	(1,320)	954	–	–	–	6,501	(31,042)	120,552	
– Footpaths	21,324	(4,872)	16,452	–	–	–	(280)	(230)	369	–	1,119	–	767	(5,301)	18,197	
– Bulk earthworks (non-depreciable)	153,844	–	153,844	–	–	–	(151)	–	95	–	108	–	5,621	–	159,517	
– Stormwater drainage	73,606	(17,074)	56,532	–	–	–	(99)	(936)	139	–	3,038	–	999	(18,247)	59,673	
– Water supply network	96,699	(28,816)	67,883	–	–	–	(664)	(1,700)	1,305	–	1,152	–	1,834	(31,094)	69,810	
– Sewerage network	84,912	(26,845)	58,067	–	–	–	(93)	(1,109)	110	–	957	–	1,305	(28,661)	59,237	
– Swimming pools	4,302	(2,419)	1,883	–	–	–	–	(92)	–	–	–	–	143	(2,712)	1,934	
Other assets:																
– Library books	297	(236)	61	–	–	–	(61)	–	–	–	–	–	–	–	–	
– Waste Other	666	(411)	255	–	–	–	–	(235)	2,708	–	–	–	89	(1,036)	2,817	
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):																
– Quarry assets	1,353	(521)	832	–	–	(373)	–	(315)	–	–	–	–	980	(836)	144	
– Tip assets	9,299	(2,906)	6,393	–	–	(3,317)	–	(863)	–	–	–	–	5,982	(3,769)	2,213	
Total infrastructure, property, plant and equipment	1,408,478	(318,950)	1,089,528	13,516	5,695	(3,690)	(7,090)	(21,691)	–	–	9,870	(988)	70,257	(350,886)	1,155,407	

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-7 Infrastructure, property, plant and equipment (continued)

By aggregated asset class	At 1 July 2023			Asset movements during the reporting period											At 30 June 2024		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions Renewals ¹	Re-measuremen t of asset remediation provision	Carrying value of disposals	Depreciation expense	WIP transfers	Adjustments and transfers	Developer / Other contribution	Tfrs from/(to) 'held for sale' category	Revaluation decrements to equity (ARR)	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	
	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	
Capital work in progress	15,644	—	15,644	20,618	14,935	—	—	—	(32,153)	—	—	—	—	19,044	—	19,044	
Plant and equipment	24,907	(12,804)	12,103	—	—	—	(849)	(3,079)	3,960	—	—	—	(238)	24,435	(12,538)	11,897	
Office equipment	2,339	(1,570)	769	—	—	—	—	(477)	98	—	—	—	—	2,436	(2,046)	390	
Furniture and fittings	771	(112)	659	—	—	—	(6)	(44)	—	—	—	—	—	765	(156)	609	
Land:																	
— Operational land	20,279	—	20,279	—	—	—	(31)	—	—	4,499	95	(673)	—	428	24,597	—	24,597
— Community land	69,533	—	69,533	—	—	—	—	—	—	(4,186)	152	(1,957)	—	1,180	64,722	—	64,722
— Land improvements – depreciable	12,795	(256)	12,539	—	—	—	(543)	(1)	—	—	—	—	—	630	12,895	(270)	12,625
Infrastructure:																	
— Buildings – non-specialised	25,601	(6,561)	19,040	—	—	—	(397)	(435)	98	23	—	—	—	897	26,531	(7,305)	19,226
— Buildings – specialised	61,480	(21,301)	40,179	—	—	—	(477)	(704)	5,570	—	—	(473)	—	1,571	68,707	(23,042)	45,665
— Other structures	38,522	(13,264)	25,258	—	—	—	(350)	(1,618)	3,001	107	38	—	—	1,236	42,969	(15,297)	27,672
— Roads	493,492	(142,074)	351,418	—	—	—	(2,323)	(7,911)	13,165	1,917	1,937	—	—	27,832	531,912	(145,877)	386,035
— Bridges	115,683	(25,657)	90,026	—	—	—	(2,507)	(1,313)	2,286	8,303	10,500	—	—	7,549	143,163	(28,319)	114,844
— Footpaths	16,631	(4,453)	12,178	—	—	—	(634)	(215)	622	1,239	807	—	—	2,455	21,324	(4,872)	16,452
— Bulk earthworks (non-depreciable)	143,205	—	143,205	—	—	—	(1,627)	—	2,432	(160)	157	—	—	9,837	153,844	—	153,844
— Stormwater drainage	64,106	(16,596)	47,510	—	—	—	—	(776)	407	—	2,901	—	—	6,490	73,606	(17,074)	56,532
— Water supply network	86,267	(24,777)	61,490	—	—	—	(39)	(1,559)	391	269	971	—	—	6,360	96,699	(28,816)	67,883
— Sewerage network	76,222	(24,948)	51,274	—	—	—	—	(1,049)	123	(269)	1,497	—	—	6,491	84,912	(26,845)	58,067
— Swimming pools	4,078	(2,207)	1,871	—	—	—	—	(86)	—	—	—	—	—	98	4,302	(2,419)	1,883
Other assets:																	
— Library books	297	(180)	117	—	—	—	—	(56)	—	—	—	—	—	—	297	(236)	61
— Other	630	(320)	310	—	—	—	—	(55)	—	—	—	—	—	—	666	(411)	255
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):																	
— Quarry assets	958	(440)	518	—	—	396	—	(82)	—	—	—	—	—	—	1,353	(521)	832
— Tip assets	6,377	(1,944)	4,433	—	—	2,922	—	(962)	—	—	—	—	—	—	9,299	(2,906)	6,393
Total infrastructure, property, plant and equipment	1,279,817	(299,464)	980,353	20,618	14,935	3,318	(9,783)	(20,422)	—	11,742	19,055	(3,103)	(238)	73,054	1,408,478	(318,950)	1,089,528

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-7 Infrastructure, property, plant and equipment (continued)

Material accounting policy information

Infrastructure, property, plant and equipment are held at fair value. Independent comprehensive valuations are performed at least every five years, however the carrying amount of assets is assessed by Council at each reporting date to confirm that it is not materially different from current fair value.

Water and sewerage network assets are indexed at each reporting period in accordance with the Rates Reference Manual issued by Department of Planning, Industry and Environment.

Increases in the carrying amounts arising on revaluation are credited to the revaluation reserve. To the extent that the increase reverses a decrease previously recognising profit or loss relating to that asset class, the increase is first recognised as profit or loss. Decreases that reverse previous increases of assets in the same class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the class; all other decreases are charged to the Income Statement.

Infrastructure, property, plant and equipment is measured initially at cost. Cost includes the fair value of the consideration given to acquire the asset (net of discounts and rebates) and any directly attributable cost of bringing the asset to working condition for its intended use (inclusive of import duties and taxes).

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the Income Statement during the financial period in which they are incurred.

When infrastructure, property, plant and equipment are acquired by Council for nil or nominal consideration, the assets are initially recognised at their fair value at acquisition date.

Land is not depreciated. Depreciation on other assets is calculated using the straight-line method to allocate their carrying amount, net of their residual values, over their estimated remaining useful lives as follows:

Plant and equipment	Years	Land Improvements	Years
Office equipment	3 to 5	Land improvements - Other	50 to 100
Furniture and fittings	10 to 100	Land improvements - Levee banks	Infinite
Plant and equipment	5 to 20		
Water and sewer assets		Buildings	
Water supply network	17 to 130	Buildings - non-specialised	7 to 143
Sewerage network	7 to 160	Buildings - specialised	7 to 143
Other Assets		Stormwater assets	
Other	7 to 30	Stormwater drainage	25 to 150
Transportation assets		Other infrastructure assets	
Roads	10 to 130	Bulk earthworks	Infinite
Bridges	25 to 145	Swimming pools	38 to 51
Footpaths	60 to 100	Other structures	5 to 128

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date. Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in the Income Statement.

Land under roads

Land under roads is land under roadways and road reserves including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008. Land under roads acquired after 1 July 2008 is recognised in accordance with the IPPE accounting policy.

C1-7 Infrastructure, property, plant and equipment (continued)

Land under roads was initially recognised at Nil value and has been revalued during the current financial year.

C1-7 Infrastructure, property, plant and equipment (continued)

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council. While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Rural Fire Service assets

Under Section 119 of the *Rural Fire Services Act 1997 (NSW)*, "all firefighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the firefighting equipment has been purchased or constructed".

Until such time as discussions on this matter have concluded and the legislation changes, Council will continue to account for these assets as it has been doing in previous years, which is to incorporate the Building assets, their values and depreciation charges within these financial statements. Council will not recognise rural fire service assets including plant and vehicles in these financial statements. The Council reviews its position in relation to RFS equipment and assets on a yearly basis.

C1-8 Intangible assets

Intangible assets are as follows:

	2025 \$ '000	2024 \$ '000
Water Licences		
Opening values at 1 July		
Gross book value	7,760	6,370
Net book value – opening balance	7,760	6,370
Movements for the year		
Purchases	192	1,426
Revaluation	130	(36)
Closing values at 30 June		
Gross book value	8,082	7,760
Total water licences – net book value	8,082	7,760
Software		
Opening values at 1 July		
Gross book value	4,831	4,250
Accumulated amortisation	(502)	(218)
Net book value – opening balance	4,329	4,032
Movements for the year		
Development costs	–	581
Amortisation charges	–	(284)
Gross book value written off	(4,831)	–
Accumulated amortisation charges written off	502	–
Closing values at 30 June		
Gross book value	–	4,831
Accumulated amortisation	–	(502)
Total Software – net book value	–	4,329
Total intangible assets – net book value	8,082	12,089

Material accounting policy information

Council holds a number of high and general security water licences, which it recognises as an intangible asset. No amortisation costs are applicable as high and general security water licences have an indefinite life.

Water licences purchased are initially recorded at cost and are valued yearly at 30 June and the revaluation is based on market evidence. Water licences are tested for impairment annually based on market sales evidence. If the recoverable amount is less than carrying amount, the carrying amount is reduced to recoverable amount and the reduction is recognised as impairment loss.

Software

Council purchased a new ERP system, Technology One Council (TechOne), and customised its setup, which it recognised as an intangible asset. Amortisation costs were applicable from 1 July 2021.

During the year management undertook a thorough review of the assets held as software intangibles to ensure that they met the capitalisation requirements of SaaS and AASB 138. This review identified that the intangibles held did not meet these requirements and as such \$1.545m was transferred to prepayments as they related to long term contractual amounts prepaid to the supplier, TechnologyOne, and the remaining amount of \$2.784 was written off as an expense to ensure correct treatment of these amounts.

C2 Leasing activities

C2-1 Council as a lessee

Council has one lease over a building and also has leases for photocopiers, which are considered as short term leases.

Buildings

Council has staff housing rental agreements in place and these are all under 12 months duration.

Vehicles

Council leases vehicles and equipment with lease terms varying to 5 years; the lease payments are fixed during the lease term and there is generally no renewal option. Waste Management currently have three Caterpillar's which are under lease contracts (two are ceasing during 2025-2026 year) and reported in the financial statements for their current and non current liability.

(a) Right of use assets

	Plant & Equipment \$ '000	Total \$ '000
2025		
Opening balance at 1 July	359	359
Additions to right-of-use assets	366	366
Depreciation charge	(227)	(227)
Balance at 30 June	498	498
2024		
Opening balance at 1 July	525	525
Additions to right-of-use assets	12	12
Depreciation charge	(178)	(178)
Balance at 30 June	359	359

(b) (i) Lease liabilities

The maturity analysis of lease liabilities based on contractual undiscounted cash flows is shown in the table below:

	< 1 year \$ '000	1 – 5 years \$ '000	> 5 years \$ '000	Total \$ '000	Total per Statement of Financial Position \$ '000
2025					
Cash flows	253	254	–	507	507
2024					
Cash flows	180	188	–	368	368

C2-1 Council as a lessee (continued)

(c) Income Statement

The amounts recognised in the Income Statement relating to leases where Council is a lessee are shown below:

	2025 \$ '000	2024 \$ '000
Expenses relating to short-term leases	60	180
Expenses relating to leases of low-value assets	303	369

(d) Statement of Cash Flows

Total cash outflow for leases	243	180
	243	180

(e) Leases at significantly below market value – concessionary / peppercorn leases

Council, as lessee, doesn't have any concessionary/ peppercorn leases.

Material accounting policy information

Council as a lessee

At inception of a contract, Council assesses whether a lease exists – i.e. does the contract convey the right to control the use of an identified asset for a period of time in exchange for consideration?

Council has elected not to separate non-lease components from lease components for any class of asset and has accounted for payments as a single component.

At the lease commencement, Council recognises a right-of-use asset and associated lease liability for the lease term. The lease term includes extension periods where Council believes it is reasonably certain that the option will be exercised.

The right-of-use asset is measured using the cost model where cost on initial recognition comprises: the lease liability, initial direct costs, prepaid lease payments, estimated cost of removal and restoration, less any lease incentives. The right-of-use is depreciated over the lease term on a straight-line basis and assessed for impairment in accordance with the impairment of asset accounting policy.

The lease liability is initially recognised at the present value of the remaining lease payments at the commencement of the lease. The discount rate is the rate implicit in the lease, however where this cannot be readily determined then the Council's incremental borrowing rate for a similar term with similar security is used.

Subsequent to initial recognition, the lease liability is measured at amortised cost using the effective interest rate method. The lease liability is re-measured when there is a lease modification, or change in estimate of the lease term or index upon which the lease payments are based (e.g. CPI). Where the lease liability is re-measured, the right-of-use asset is adjusted to reflect the re-measurement.

Exceptions to lease accounting

Council has applied the exceptions to lease accounting for both short-term leases (i.e. leases with a term of less than or equal to 12 months) and leases of low-value assets. Council recognises the payments associated with these leases as an expense on a straight-line basis over the lease term.

Leases at significantly below market value / concessionary leases

Council has elected to measure the right of use asset arising from the concessionary leases at cost which is based on the associated lease liability at initial recognition.

C2-2 Council as a lessor

Operating leases

Council leases out a number of properties and /or plant and equipment to community groups; these leases have been classified as operating leases for financial reporting purposes and the assets are included in the Statement of Financial Position as:

- Property, plant and equipment - where the rental is incidental, or the asset is held to meet councils service delivery objections (refer C1-8)

	2025	2024
	\$ '000	\$ '000

(i) Assets held as property, plant and equipment

Council provides operating leases on Council buildings for the purpose of caravan parks, staff housing, retirement units, vacant land and room/ facility hire. The table below relates to operating leases on assets that are a part of the overall asset fair value balances disclosed in Note C1-6.

Lease income (excluding variable lease payments not dependent on an index or rate)	712	601
Total income relating to operating leases for Council assets	712	601

(ii) Maturity analysis of undiscounted lease payments to be received after reporting date for all operating leases:

Maturity analysis of future lease income receivable showing the undiscounted lease payments to be received after reporting date for operating leases:

< 1 year	670	660
1–2 years	649	651
2–3 years	626	663
3–4 years	631	674
4–5 years	645	714
> 5 years	7,104	11,390
Total undiscounted lease payments to be received	10,325	14,752

C3 Liabilities of Council

C3-1 Payables

	2025 Current \$ '000	2025 Non-current \$ '000	2024 Current \$ '000	2024 Non-current \$ '000
Prepaid rates	903	–	570	–
Goods and services – operating expenditure	8,057	–	4,997	–
Accrued expenses:				
– Salaries and wages	646	–	769	–
– Other expenditure accruals	294	–	886	–
Advances	726	–	731	–
Security bonds, deposits and retentions	1,883	–	2,168	–
Other	33	–	47	–
Total payables	12,542	–	10,168	–

Payables

Payables represent liabilities for goods and services provided to Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

C3-2 Contract Liabilities

	Notes	2025 Current \$ '000	2025 Non-current \$ '000	2024 Current \$ '000	2024 Non-current \$ '000
Grants and contributions received in advance:					
Unexpended capital grants (to construct Council controlled assets)	(i)	3,504	–	3,540	–
Unexpended operating grants (received prior to performance obligation being satisfied)	(ii)	227	–	157	–
Total grants received in advance		3,731	–	3,697	–
Total contract liabilities		3,731	–	3,697	–

Notes

(i) Council has received funding to construct assets including community recreation, mobile library and other infrastructure. The funds received are under an enforceable contract which require Council to construct an identified asset which will be under Council's control on completion. The revenue is recognised as Council constructs the asset and the contract liability reflects the funding received which cannot yet be recognised as revenue. The revenue is expected to be recognised in the next 12 months.

(ii) The contract liability relates to grants received prior to the revenue recognition criteria in AASB 15 being satisfied since the performance obligations are ongoing.

C3-2 Contract Liabilities (continued)

Revenue recognised that was included in the contract liability balance at the beginning of the period

	2025 \$ '000	2024 \$ '000
Capital grants (to construct Council controlled assets)	1,698	2,226
Operating grants (received prior to performance obligation being satisfied)	113	310
Deposits received in advance of services provided	231	–
Total revenue recognised that was included in the contract liability balance at the beginning of the period	2,042	2,536

Contract liabilities are recorded when consideration is received from a customer / fund provider prior to Council transferring a good or service to the customer, Council presents the funds which exceed revenue recognised as a contract liability.

C3-3 Borrowings

	2025 Current \$ '000	2025 Non-current \$ '000	2024 Current \$ '000	2024 Non-current \$ '000
Loans – secured ¹	272	1,150	267	1,422
Total borrowings	272	1,150	267	1,422

(1) Loans are secured over the general rating income of Council.

(a) Changes in liabilities arising from financing activities

	2024		Non-cash movements				2025
	Opening Balance \$ '000	Cash flows \$ '000	Acquisition \$ '000	Fair value changes \$ '000	Acquisition due to change in accounting policy \$ '000	Other non-cash movement \$ '000	Closing balance \$ '000
Loans – secured	1,689	(267)	–	–	–	–	1,422
Lease liability (Note C2-1)	368	(226)	365	–	–	–	507
Total liabilities from financing activities	2,057	(493)	365	–	–	–	1,929

	2023		Non-cash movements				2024
	Opening Balance \$ '000	Cash flows \$ '000	Acquisition \$ '000	Fair value changes \$ '000	Acquisition due to change in accounting policy \$ '000	Other non-cash movement \$ '000	Closing balance \$ '000
Loans – secured	2,649	(960)	–	–	–	–	1,689
Lease liability (Note C2-1)	538	(170)	–	–	–	–	368
Total liabilities from financing activities	3,187	(1,130)	–	–	–	–	2,057

(b) Financing arrangements

	2025 \$ '000	2024 \$ '000
--	-----------------	-----------------

Total facilities

Total financing facilities available to Council at the reporting date are:

Bank overdraft facilities ¹	400	400
Credit cards/purchase cards	100	100
Total financing arrangements	500	500

Drawn facilities

Financing facilities drawn down at the reporting date are:

– Credit cards/purchase cards	21	9
Total drawn financing arrangements	21	9

Undrawn facilities

Undrawn financing facilities available to Council at the reporting date are:

– Bank overdraft facilities	400	400
– Credit cards/purchase cards	79	91
Total undrawn financing arrangements	479	491

(1) The bank overdraft facility may be drawn at any time and may be terminated by the bank without notice.

C3-4 Employee benefit provisions

	2025 Current \$ '000	2025 Non-current \$ '000	2024 Current \$ '000	2024 Non-current \$ '000
Annual leave	1,794	–	1,705	–
Long service leave	2,902	141	2,421	372
Gratuities	171	–	123	–
Total employee benefit provisions	4,867	141	4,249	372

Current employee benefit provisions not anticipated to be settled within the next twelve months

	2025 \$ '000	2024 \$ '000
The following provisions, even though classified as current, are not expected to be settled in the next 12 months.		
Provisions – employees benefits	3,534	3,780
	3,534	3,780

Material accounting policy information

Employee benefit provisions are presented as current liabilities in the Statement of Financial Position if Council does not have an unconditional right to defer settlement for at least 12 months after the reporting date, regardless of when the actual settlement is expected to occur and therefore all annual leave and vested long service leave (or that which vests within 12 months) is presented as current.

Other long-term employee benefit obligations

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

C3-5 Provisions

	2025 Current \$ '000	2025 Non-Current \$ '000	2024 Current \$ '000	2024 Non-Current \$ '000
Asset remediation/restoration:				
Asset remediation/restoration (future works)	313	4,808	–	10,027
Sub-total – asset remediation/restoration	313	4,808	–	10,027
Total provisions	313	4,808	–	10,027

Description of and movements in provisions

	Other provisions	
	Asset remediation \$ '000	Total \$ '000
2025		
At beginning of year	10,027	10,027
Changes to provision:		
Revised costs	(5,108)	(5,108)
Unwinding of discount	202	202
Total other provisions at end of year	5,121	5,121
2024		
At beginning of year	6,714	6,714
Changes to provision:		
Revised costs	3,017	3,017
Unwinding of discount	296	296
Total other provisions at end of year	10,027	10,027

Material accounting policy information

Provisions are recognised when Council has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the reporting date. The discount rate used to determine the present value reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as a borrowing cost.

Asset remediation – tips and quarries

Close-down and restoration costs include the dismantling and demolition of infrastructure, and the removal of residual materials and remediation of disturbed areas. Estimated close-down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs. Provisions for close-down and restoration costs do not include any additional obligations which are expected to arise from future disturbance. The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

The ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques, or experience at other locations. The expected timing of expenditure can also change, for example in response to changes in quarry reserves or production rates. As a result, there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Other movements in the provisions for close-down and restoration costs, including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations, and revisions to discount rates, are capitalised within infrastructure, property, plant and equipment. These costs are then depreciated over the lives of the assets to which they relate.

C4 Reserves

C4-1 Nature and purpose of reserves

IPPE Revaluation Surplus

The infrastructure, property, plant and equipment (IPPE) revaluation surplus is used to record increments and decrements in the revaluation of infrastructure, property, plant and equipment.

D Council structure

D1 Results by fund

General fund refers to all Council activities other than water, sewer and waste management. All amounts disclosed in this note are gross i.e. inclusive of internal charges and recoveries made between the funds. Assets and liabilities shown in the water, sewer and waste management columns are restricted for use for these activities.

D1-1 Income Statement by fund

	General 2025 \$ '000	Water 2025 \$ '000	Sewer 2025 \$ '000	Waste Management 2025 \$ '000
Income from continuing operations				
Rates and annual charges	12,982	4,134	4,422	3,532
User charges and fees	4,274	4,118	274	5,446
Interest and investment revenue	1,501	477	954	272
Other revenue	1,084	208	104	55
Grants and contributions provided for operating purposes	18,590	12	–	(31)
Grants and contributions provided for capital purposes	13,358	1,858	1,328	57
Other income	712	–	–	–
Total income from continuing operations	52,501	10,807	7,082	9,331
Expenses from continuing operations				
Employee benefits and on-costs	19,637	1,276	485	1,178
Materials and services	17,042	3,442	1,797	4,416
Borrowing costs	80	–	–	172
Other expenses	1,104	3	–	(7)
Net losses from the disposal of assets	9,545	669	93	(842)
Total expenses from continuing operations excluding depreciation, amortisation and impairment of non-financial assets	47,408	5,390	2,375	4,917
Operating result from continuing operations excluding depreciation, amortisation and impairment of non-financial assets	5,093	5,417	4,707	4,414
Depreciation, amortisation and impairment of non-financial assets	17,608	1,783	1,122	1,405
Operating result from continuing operations	(12,515)	3,634	3,585	3,009
Net operating result for the year	(12,515)	3,634	3,585	3,009
Net operating result attributable to each council fund	(12,515)	3,634	3,585	3,009
Net operating result for the year before grants and contributions provided for capital purposes	(25,873)	1,776	2,257	2,952

D1-2 Statement of Financial Position by fund

	General 2025 \$ '000	Water 2025 \$ '000	Sewer 2025 \$ '000	Waste Management 2025 \$ '000
ASSETS				
Current assets				
Cash and cash equivalents	2,927	2,978	5,847	11
Investments	22,837	5,690	15,056	5,989
Receivables	9,257	2,400	1,090	1,280
Inventories	519	—	—	—
Other	2,216	—	—	—
Non-current assets classified as held for sale	1,958	—	—	—
Total current assets	39,714	11,068	21,993	7,280
Non-current assets				
Investments	2	—	—	—
Receivables	18	—	—	—
Infrastructure, property, plant and equipment	998,862	80,846	65,158	10,541
Intangible assets	—	8,082	—	—
Right of use assets	6	—	—	492
Other	1,021	—	—	—
Total non-current assets	999,909	88,928	65,158	11,033
Total assets	1,039,623	99,996	87,151	18,313
LIABILITIES				
Current liabilities				
Payables	12,372	168	—	2
Contract liabilities	3,517	87	50	77
Lease liabilities	4	—	—	250
Borrowings	272	—	—	—
Employee benefit provision	4,867	—	—	—
Provisions	213	—	—	100
Total current liabilities	21,245	255	50	429
Non-current liabilities				
Lease liabilities	2	—	—	251
Borrowings	1,150	—	—	—
Employee benefit provision	141	—	—	—
Provisions	142	—	—	4,666
Total non-current liabilities	1,435	—	—	4,917
Total liabilities	22,680	255	50	5,346
Net assets	1,016,943	99,741	87,101	12,967
EQUITY				
Accumulated surplus	654,843	65,706	52,734	10,898
IPPE revaluation surplus	362,100	34,035	34,367	2,069
Council equity interest	1,016,943	99,741	87,101	12,967
Total equity	1,016,943	99,741	87,101	12,967

D2 Interests in other entities

D2-1 Subsidiaries

Council's consolidated financial statements incorporate the assets, liabilities and results of the following subsidiaries in accordance with AASB 10 and the accounting policy described below.

Council's consolidated financial statements also include controlled entities with ownership interest of 50% or less.

Name of Operation/Entity	Principal activity
1. Moama Recreation Reserve	Management of a Recreation Reserve (Sub Committee) Perricoota Road Moama.

Interests in Subsidiary	Ownership 2025	Ownership 2024	Principal place of business	Voting rights 2025	Voting rights 2024
Council's interest in Subsidiary	100%	100%	Perricoota Rd Moama	100%	100%

Reporting dates of Subsidiary

The committee completes financials reports to financial year end 30 June 2025. The financial position and performance of subsidiaries for the financial year ended 30 June 2025 have been included in these consolidated financial statements.

Note, a resolution was passed by Council on 26 November 2024 to dissolve the Moama Recreation Reserve committee.

Summarised financial information for the Subsidiary

	2025 \$ '000	2024 \$ '000
Summarised statement of comprehensive income		
Revenue	59	47
Expenses	(2)	(36)
Profit for the period	57	11
Total comprehensive income	57	11
Summarised statement of financial position		
Current assets	–	45
Total assets	–	45
Net assets	–	45
Summarised statement of cash flows		
Cash flows from operating activities	57	11
Net increase (decrease) in cash and cash equivalents	57	11

D2-1 Subsidiaries (continued)

Name of Operation/Entity	Principal activity
2. Mathoura Retirement Village	Management of Units for the Aged Mathoura Street, Mathoura.

Interests in Subsidiary	Ownership 2025	Ownership 2024	Principal place of business	Voting rights 2025	Voting rights 2024
Council's interest in Subsidiary	100%	100%	12 Mathoura St Mathoura	100%	100%

Reporting dates of Subsidiary

The committee completes financial reports to financial year end 30 June 2025. The financial position and performance of subsidiaries for the financial year ended 30 June 2025 have been included in these consolidated financial statements.

Summarised financial information for the Subsidiary

	2025 \$ '000	2024 \$ '000
Summarised statement of comprehensive income		
Revenue	53	55
Expenses	(40)	(46)
Profit for the period	13	9
Total comprehensive income	13	9
Summarised statement of financial position		
Current assets	251	237
Total assets	251	237
Net assets	251	237

D2-1 Subsidiaries (continued)

Name of Operation/Entity	Principal activity
3. Moama Lions Community Village	Provision of units for the people meeting the criteria Various units in Moama.

Interests in Subsidiary	Ownership 2025	Ownership 2024	Principal place of business	Voting rights 2025	Voting rights 2024
Council's interest in Subsidiary	100%	100%	10-12 Council St Moama	100%	100%

The nature and extent of significant restrictions relating to the Subsidiary

The Moama Lions is a sub committee of Council under Section 355 of the *Local Government Act (1993)*. The assets of the committee are Council's assets. Their bank accounts are treated as Internally Restricted Assets of the Council.

Reporting dates of Subsidiary

The committee completes financial reports to financial year end 30 June 2025. The financial position and performance of subsidiaries for the financial year ended 30 June 2025 have been included in these consolidated financial statements.

Summarised financial information for the Subsidiary

	2025 \$ '000	2024 \$ '000
Summarised statement of comprehensive income		
Revenue	181	292
Expenses	(83)	(77)
Profit for the period	98	215
Total comprehensive income	98	215
Summarised statement of financial position		
Current assets	1,200	1,101
Total assets	1,200	1,101
Current liabilities	–	287
Total liabilities	–	287
Net assets	1,200	814
Summarised statement of cash flows		
Cash flows from operating activities	46	85
Cash flows from investing activities	52	130
Net increase in cash and cash equivalents	98	215

E Risks and accounting uncertainties

E1-1 Risks relating to financial instruments held

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk. Financial risk management is carried out by Council's finance team under policies approved by the Councillors.

Council's objective is to maximise its return on cash and investments whilst maintaining an adequate level of liquidity and preserving capital.

Council's finance area manages the cash and Investments portfolio with assistance of independent advisers.

Council has an investment policy which complies with s625 of the Act and the Ministerial Investment Order. This policy is regularly reviewed by Council and its staff and an investment report is tabled before Council on a monthly basis setting out the portfolio breakup and its performance as required by Local Government regulations.

The risks associated with the instruments held are:

- **Liquidity risk** – the risk that Council will not be able to pay its debts as and when they fall due.
- **Market risk** - interest rate risk – the risk that movements in interest rates could affect returns.
- **Credit risk** – the risk that the investment counterparty will not complete their obligations particular to a financial instrument, resulting in a financial loss to Council – be it of a capital or income nature.

Council manages these risks (amongst other measures) by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees. Council also seeks advice from its independent advisers before placing any cash and investments.

(a) Market risk – interest rate and price risk

	2025	2024
	\$ '000	\$ '000

The impact on the result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date.

Impact of a 1% movement in interest rates

– Equity / Income Statement	482	433
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(b) Credit risk

Council's major receivables comprise rates and annual charges and user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings. There are no significant concentrations of credit risk other than Council has significant credit risk exposures in its local area given the nature of Council activities. The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance. The balance of receivables that remain within initial trade terms (as detailed in the table) are considered to be of high credit quality. The maximum exposure to credit risk at the reporting date is the carrying amount of each class of receivable in the financial statements.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

E1-1 Risks relating to financial instruments held (continued)

Credit risk profile

Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to recover these debts as a secured charge over the land; that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages payment.

	Not yet overdue \$ '000	overdue rates and annual charges < 5 years \$ '000	≥ 5 years \$ '000	Total \$ '000
2025				
Gross carrying amount	25	2,526	538	3,089
2024				
Gross carrying amount	371	1,718	503	2,592

Receivables - non-rates and annual charges and contract assets

Council applies the simplified approach for non-rates and annual charges debtors and contract assets to provide for expected credit losses, which permits the use of the lifetime expected loss provision at inception. To measure the expected credit losses, non-rates and annual charges debtors and contract assets have been grouped based on shared credit risk characteristics and the days past due.

The loss allowance provision is determined as follows. The expected credit losses incorporate forward-looking information.

	Not yet overdue \$ '000	0 - 30 days \$ '000	Overdue debts 31 - 60 days \$ '000	61 - 90 days \$ '000	> 91 days \$ '000	Total \$ '000
2025						
Gross carrying amount	8,085	467	39	491	2,150	11,232
Expected loss rate (%)	0.00%	0.00%	0.00%	0.00%	3.77%	0.72%
ECL provision	–	–	–	–	81	81
2024						
Gross carrying amount	10,045	853	23	281	1,400	12,602
Expected loss rate (%)	0.00%	0.00%	0.00%	0.00%	4.36%	0.48%
ECL provision	–	–	–	–	61	61

E1-1 Risks relating to financial instruments held (continued)

(c) Liquidity risk

Payables, lease liabilities and borrowings are both subject to liquidity risk; that is, the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels, and by maintaining an adequate cash buffer. Payment terms can be extended, and overdraft facilities drawn upon in extenuating circumstances.

Borrowings are also subject to interest rate risk: the risk that movements in interest rates could adversely affect funding costs. Council manages this risk through diversification of borrowing types, maturities and interest rate structures.

The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

The amounts disclosed in the table are the undiscounted contracted cash flows for non-lease liabilities (refer to Note C2-1(b) for lease liabilities) and therefore the balances in the table may not equal the balances in the Statement of Financial Position due to the effect of discounting.

	Weighted average interest rate %	Subject to no maturity \$ '000	payable in: ≤ 1 Year \$ '000	1 - 5 Years \$ '000	> 5 Years \$ '000	Total cash outflows \$ '000	Actual carrying values \$ '000
2025							
Payables	0.00%	1,883	10,659	–	–	12,542	12,542
Borrowings	2.14%	–	272	1,150	–	1,422	1,422
Total financial liabilities		1,883	10,931	1,150	–	13,964	13,964
2024							
Payables	0.00%	2,168	8,000	–	–	10,168	10,168
Borrowings	2.14%	–	267	1,125	297	1,689	1,689
Total financial liabilities		2,168	8,267	1,125	297	11,857	11,857

E2-1 Fair value measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

- Infrastructure, property, plant and equipment
- Financial assets and liabilities
- Assets held for sale.

Fair value hierarchy: All assets and liabilities measured at fair value are assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The table below shows the assigned level for each asset and liability held at fair value by the Council:

E2-1 Fair value measurement (continued)

		Fair value measurement hierarchy									
		Date of latest valuation		Level 1 Quoted prices in active markets		Level 2 Significant observable inputs		Level 3 Significant unobservable inputs		Total	
		2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Notes		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000
Recurring fair value measurements											
Financial assets											
Financial investments	C1-2										
– 'Financial assets - "											
Available for sale"		30/06/2025	30/06/2024	49,572	43,266	–	–	–	–	49,572	43,266
Total financial assets				49,572	43,266	–	–	–	–	49,572	43,266
Infrastructure, property, plant and equipment											
	C1-7										
Operational Land		31/12/2024	30/06/2022	–	–	28,276	24,597	–	–	28,276	24,597
Community Land		31/12/2024	30/06/2022	–	–	72,014	64,721	–	–	72,014	64,721
Land under roads (post 30/06/08)		31/12/2024	30/06/2018	–	–	–	–	12,178	–	12,178	–
Land Improvements depreciable		30/06/2023	30/06/2023	–	–	–	–	13,997	12,625	13,997	12,625
Buildings – non-specialised		31/12/2024	30/06/2022	–	–	605	553	18,506	18,673	19,111	19,226
Buildings – specialised		31/12/2024	30/06/2022	–	–	–	–	59,344	45,666	59,344	45,666
Other Structures		30/06/2023	30/06/2023	–	–	–	–	28,170	27,672	28,170	27,672
Roads		30/06/2022	30/06/2022	–	–	–	–	396,583	386,035	396,583	386,035
Bridges		30/06/2022	30/06/2022	–	–	–	–	120,552	114,844	120,552	114,844
Footpaths		30-06-2022	30/06/2022	–	–	–	–	18,197	16,452	18,197	16,452
Bulk Earthworks		30-06-2022	30/06/2022	–	–	–	–	159,517	153,844	159,517	153,844
Stormwater Drainage		30-06-2024	30/06/2024	–	–	–	–	59,673	56,532	59,673	56,532
Water Supply Network		30/06/2024	30/06/2024	–	–	–	–	69,810	67,883	69,810	67,883
Sewerage Network		30/06/2024	30/06/2024	–	–	–	–	59,237	58,067	59,237	58,067
Swimming Pools		30/06/2023	30/06/2023	–	–	–	–	1,934	1,883	1,934	1,883
Library Books		30/06/2022	30/06/2022	–	–	–	–	–	61	–	61
Other Assets		30/06/2022	30/06/2022	–	–	–	–	2,817	255	2,817	255
Tip Assets		31/12/2024	30/06/2022	–	–	–	–	2,213	6,393	2,213	6,393
Quarry Assets		31/12/2024	30/06/2022	–	–	–	–	144	832	144	832
Total infrastructure, property, plant and equipment				–	–	100,895	89,871	1,022,872	967,717	1,123,767	1,057,588

E2-1 Fair value measurement (continued)

		Fair value measurement hierarchy									
		Date of latest valuation		Level 1 Quoted prices in active markets		Level 2 Significant observable inputs		Level 3 Significant unobservable inputs		Total	
		2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Notes		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000
Non-recurring fair value measurements											
Intangible assets											
Water Access Licences	30/06/2025	30/06/2024		8,082	7,760	—	—	—	—	8,082	7,760
Total intangible assets				8,082	7,760	—	—	—	—	8,082	7,760
Non-current assets classified as held for sale											
Non-current assets held for sale	C1-6										
	30/06/2024	30/06/2024		—	—	1,958	3,103	—	—	1,958	3,103
Total NCA's classified as held for sale				—	—	1,958	3,103	—	—	1,958	3,103

E2-1 Fair value measurement (continued)

Valuation techniques

Where Council is unable to derive fair valuations using quoted market prices of identical assets (ie. level 1 inputs) Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Operational and Community land

Full asset class valuation was completed by an independent consultant (APV Valuers and Asset Management) as of 31 December 2024. An assessment was completed on indexation for the period 1 January 2025 to 30 June 2025. There was no material impact on this asset class and as such indexation has not been applied. Operational Land is valued based on purchase price and valuations provided by commercial valuers.

Community Land is based on land value of either recently sold properties which are of a similar type, the hypothetical development approach (using gross realisation, expected costs, profit and risk), the value to an adjoining owner approach (land has no commercial value and is valued with reference to adjoining owner land values) or the nominal value approach (land is deemed to have a nominal of \$1).

Operational and Community land is valued based on level 2 inputs.

Land Under Roads

For Land under roads (acquired post 1 July 2008) a full asset class valuation was completed by an independent consultant (APV Valuers and Asset Management) as of 30 June 2025 in line with level 3 inputs.

Land Improvements

Land Improvements comprises of flood levee banks and associated infrastructure like penstocks and flood gates.

Indexation has been done on this asset class as of 30 June 2025. The valuations are based on a range of level 3 inputs, including at an Asset Level or a Component Level (components, unit rates/ overall value, consumption scores and valuation profiles).

Buildings – non-specialised and specialised

Full asset class valuation was completed by an independent consultant (APV Valuers and Asset Management) as of 31 December 2024. Council engaged commercial valuers to value all Council's buildings as of 31 December 2024. An assessment was completed on indexation for the period 1 January 2025 to 30 June 2025. There was no material impact on this asset class and as such indexation has not been applied.

Buildings valuations are based on either level 2 – Observable evidence of market sales or level 3 - Based on range of inputs: Assessing components of asset, unit rate costs, consumption scores and component level assumptions. Valuation techniques remained the same for the reporting period.

Other structures

Other Structures comprise of sundry recreational assets, signage, shade sails, irrigation systems, lights, fencing, cemeteries, wharfs, boat ramps, skate parks, pounds, sheds, carports, bus shelters, playground equipment and caravan parks assets etc.

Indexation has been done on this asset class as of 30 June 2025. The valuations are based on a range of level 3 inputs, including at an Asset Level or a Component Level (components, unit rates/ overall value, consumption scores and valuation profiles).

Roads, bridges, bulk earthworks and footpaths

Council's Roads, Bridges Bulk Earthworks and Footpaths were inspected and valued by an independent consultant (APV Valuers and Asset Management) on 30 June 2022. The valuation was based on cost approach using level 3 inputs to value this asset class and the following information was determined by the consultant for each component.

The economic useful life has been assessed based on utilising construction year, asset replacement cost and condition after being reviewed carefully.

- The remaining service potential was determined based on physical condition data.
- The replacement costs were developed from unit rates, quantities, sub-component factors and intangible factors.
- Condition assessment is based on factors such as age of the asset, overall condition, economic and functional obsolescence.

E2-1 Fair value measurement (continued)

- Pattern of consumption straight line pattern of consumption.
- Indexation has been applied for the 2024/25 financial year.

Stormwater Drainage

Indexation has been done on this asset class as of 30 June 2025. The last full asset class valuation was by an independent consultant (APV Valuers and Asset Management) on 30 June 2024. The valuation was based on cost approach using level 3 inputs to value this asset class and the following information was determined by the consultant for each component.

The economic useful life has been assessed based on utilising construction year, asset replacement cost and condition after being reviewed carefully.

- The remaining service potential was determined based on physical condition data sampled by APV Valuers and Asset Management.
- The replacement costs were developed from unit rates, quantities, sub-component factors and intangible factors.
- Condition assessment is based on factors such as age of the asset, overall condition, economic and functional obsolescence.
- Pattern of consumption straight line pattern of consumption.

Water supply network

Assets within this class comprise reservoirs, pumping station, treatment plants and reticulation and delivery mains.

The 'Cost Approach' estimated the replacement cost for each asset by componentising the assets into significant parts with different useful lives and taking into account a range of factors. While the unit rates based on linear metres of certain diameter pipes and prices per pit or similar may be supported from market evidence (level 2) other inputs (such as estimates of pattern of consumption, residual value, asset condition and useful life) required extensive professional judgement and impacted significantly on their final determination of fair value. Additionally, due to limitations in the historical records of very long-lived assets, there is uncertainty regarding the actual design, specifications and dimensions of some assets. These assets are indexed each year in line with the NSW Reference Rates Manual as published by the Office of Water. These assets are assessed internally by technically qualified staff using externally provided indexation rates.

Indexation has been done on this asset class as of 30 June 2025. The last full asset class valuation was by an independent consultant (APV Valuers and Asset Management) on 30 June 2024.

Sewerage network

Assets within this class comprise treatment plants, oxidation ponds, pumping stations and mains.

The 'Cost Approach' estimated the replacement cost for each asset by componentising the assets into significant parts with different useful lives and taking into account a range of factors. While the unit rates based on linear metres of certain diameter pipes and prices per pit or similar may be supported from market evidence (level 2) other inputs (such as estimates of pattern of consumption, residual value, asset condition and useful life) required extensive professional judgement and impacted significantly on the final determination of fair value. Additionally, due to limitations in the historical records of very long-lived assets there is uncertainty regarding the actual design, specifications and dimensions of some assets. These assets are indexed each year in line with the NSW Reference Rates Manual as published by the Office of Water. These assets are assessed internally by technically qualified staff using externally provided indexation rates.

Indexation has been done on this asset class as of 30 June 2025. The last full asset class valuation was by an independent consultant (APV Valuers and Asset Management) on 30 June 2024.

Swimming Pools

This asset class was inspected and valued by an independent consultant (APV Valuers and Asset Management) on 30 June 2023. The valuations are based on a range of level 3 inputs, including at an Asset Level or a Component Level (components, unit rates/ overall value, consumption scores and valuation profiles).

Other Assets

Assets within this class comprise waste bins, construction of new landfill cell, reinstatement of tip and quarry assets.

Construction of new landfill and been brought on at cost during 2024-25. Landfill and Quarry Remediation Assets were based on a full valuation undertaken by an independent consultant (APV Valuers and Asset Management) as of 31 December 2024. These costs were based on Infrastructure Department costs to remediate the assets.

E2-1 Fair value measurement (continued)

Financial Assets – Non-current assets

Council values the shares held at their original purchase prices as there are no quoted prices in an active market.

Intangible Assets - Water Access Licences

Council values water access licences based on quoted prices in an active market (level 1).

Fair value measurements using significant unobservable inputs (level 3)

The valuation process for level 3 fair value measurements

Council uses external qualified Valuers to value all of Council level 3 assets.

Valuation Technique - The calculation is based on the components unit costs of the asset class as disclosed in Note E2-1. Recent similar construction projects are assessed to determine the appropriate unit costs. This determines the "Gross carrying Amount". An assessment of the useful life and remaining useful life of the assets components, through a condition assessment is undertaken. This determines the "Accumulated Depreciation and Impairment" and the "Net Carrying Amount".

Post Valuation - The Council's Director Engineering Services overviews the valuation process.

E2-1 Fair value measurement (continued)

Significant unobservable valuation inputs used (for level 3 asset classes) and their relationship to fair value.

The following table summarises the quantitative information relating to the significant unobservable inputs used in deriving the various level 3 asset class fair values.

	Valuation technique/s	Unobservable inputs
I,PP&E		
Plant, equipment, furniture, fittings and office equipment	Cost approach	Current replacement cost of modern equivalent asset, asset condition, useful life and residual value
Land improvements – depreciable	Cost approach	Current replacement cost of modern equivalent asset, asset condition, remaining lives, residual value. Unit rates per m in length varied from \$95 to \$16,725
Buildings - non specialised	Market/Income approach	Observable inputs (Level 2) - Sales prices of comparable properties after adjusting for differences in key attributes such as property size. Observable inputs (Level 3) - Current Replacement Cost of modern equivalent asset using componentisation, condition and remaining lives. Unit rates per m2 varied from \$728 to \$5,200
Buildings – specialised	Cost approach	Current replacement cost of modern equivalent asset using componentisation, asset condition, remaining lives, residual value. Unit rates per m2 varied from \$166.40 to \$10,400
Other structures	Cost approach	Current replacement cost of modern equivalent asset, asset condition, remaining lives, residual value. Unit rates per m2 or length varied from \$128 to \$16,122
Roads, bridges and footpaths	Cost approach	Asset condition, remaining lives using componentisation. Unit rates per m2 varied from \$11.16 to \$3,842.56
Bulk earthworks	Cost approach	Asset condition, remaining lives using componentisation. Unit rates per m2 or length varied from \$3.30 to \$6.18
Stormwater drainage	Cost approach	Asset condition, remaining lives. Unit rates per m in length varied from \$42 to \$2,521

E2-1 Fair value measurement (continued)

	Valuation technique/s	Unobservable inputs
Water supply network	Cost approach	Asset condition and remaining lives using componentisation. Unit rates per m in length varied from \$15.5 to \$634.55
Sewerage network	Cost approach	Asset condition and remaining lives using componentisation. Unit rates per m in length varied from \$39.20 to \$1,848
Swimming Pools	Cost approach	Asset condition and remaining lives using componentisation. Unit rates per m2 varied from \$7,629 to \$24,611
Tips and Quarries	Cost approach	Environmental legislation, timing of expected cash outflows, asset condition
Other Assets	Cost approach	Asset condition and remaining lives using componentisation. Unit rates per unit varied from \$20.28 to \$388.36
Non-current assets classified as 'held for sale'		
Shares	Original Purchase Price	Current value indefinable as not traded in an active share market

E2-1 Fair value measurement (continued)

A reconciliation of the movements in recurring fair value measurements allocated to Level 3 of the hierarchy by class of assets is provided below:

	Land Under Roads		Land improvement depreciable		Building specialised		Building Non Specialised	
	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000
Opening balance	–	–	12,625	12,539	45,666	40,179	18,673	18,487
Transfers from/(to) another asset class	–	–	–	–	(276)	–	(62)	23
Purchases (GBV)	172	–	–	–	3,606	5,570	137	98
Disposals (WDV)	–	–	–	(543)	(150)	(477)	(59)	(397)
Depreciation and impairment	–	–	(14)	(1)	(1,449)	(704)	(506)	(435)
Revaluation Movement - Equity	12,006	–	1,386	630	11,947	1,571	323	897
Reinstatement	–	–	–	–	–	–	–	–
Other	–	–	–	–	–	(473)	–	–
Closing balance	12,178	–	13,997	12,625	59,344	45,666	18,506	18,673

	Other structures		Roads, bridges and footpaths		Bulk earthworks		Stormwater drainage	
	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000
Opening balance	27,672	25,258	517,331	453,622	153,844	143,205	56,532	47,510
Transfers from/(to) another asset class	338	107	–	11,459	–	(160)	–	–
Purchases (GBV)	1,206	3,039	9,471	29,317	203	2,589	3,177	3,308
Disposals (WDV)	(1,690)	(350)	(2,945)	(5,464)	(151)	(1,627)	(99)	–
Depreciation and impairment	(1,915)	(1,618)	(9,823)	(9,439)	–	–	(936)	(776)
Revaluation Movement - Equity	2,559	1,236	21,298	37,836	5,621	9,837	999	6,490
Reinstatement	–	–	–	–	–	–	–	–
Closing balance	28,170	27,672	535,332	517,331	159,517	153,844	59,673	56,532

	Water supply network		Sewerage network		Swimming pools		Tip and quarry assets	
	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000
Opening balance	67,883	61,490	58,067	51,274	1,883	1,871	7,225	4,951
Transfers from/(to) another asset class	–	269	–	(269)	–	–	–	–
Purchases (GBV)	2,457	1,362	1,067	1,620	–	–	–	–
Disposals (WDV)	(664)	(39)	(93)	–	–	–	–	–
Depreciation and impairment	(1,700)	(1,559)	(1,109)	(1,049)	(92)	(86)	(1,178)	(1,044)
Revaluation Movement - Equity	1,834	6,360	1,305	6,491	143	98	–	–
Reinstatement	–	–	–	–	–	–	(3,690)	3,318
Closing balance	69,810	67,883	59,237	58,067	1,934	1,883	2,357	7,225

E2-1 Fair value measurement (continued)

	Other assets		Total	
	2025 \$ '000	2024 \$ '000	2025 \$ '000	2024 \$ '000
Opening balance	316	427	967,717	860,813
Transfers from/(to) another asset class	–	–	–	11,429
Purchases (GBV)	2,708	–	24,204	46,903
Disposals (WDV)	(61)	–	(5,912)	(8,897)
Depreciation and impairment	(235)	(111)	(18,957)	(16,822)
Revaluation Movement - Equity	89	–	59,510	71,446
Reinstatement	–	–	(3,690)	3,318
Other	–	–	–	(473)
Closing balance	2,817	316	1,022,872	967,717

Highest and best use

All of Council's non-financial assets are considered as being utilised for their highest and best use.

E3-1 Contingencies

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under Active Super – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB 119 *Employee Benefits* for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formulae and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

Description of the funding arrangements

Pooled employers are required to pay standard employer contributions and additional lump sum contributions to the fund. The standard employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working lifetime of a typical new entrant is calculated. The current standard employer contribution rates are:

Division B	1.9 times member contributions for non-180 Point Member; Nil for 180 Point Members*
Division C	2.5% Salary
Division D	1.64 times member contributions

* For 180 Point Members, Employers are required to contribute 9.5% of salaries for the year ended 30 June 2025 to these members' accumulation accounts in line with current level of SG contributions, which are paid in addition to members' defined benefits.

The past service contribution for each Pooled Employer is a share of the total past service contributions of \$20.0 million per annum for 1 January 2022 to 31 December 2024, apportioned according to each employer's share of the accrued liabilities as at 30 June. Given the funding position of the Fund as at 30 June 2024, it was recommended to cease these past service contributions effective 1 January 2025.

The adequacy of contributions is assessed at each actuarial investigation which will be conducted annually, the next of which is due effective 30 June 2025.

Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding past service contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the fund's trust deed dealing with deficits or surplus on wind-up.

There is no provision for allocation of any surplus which may be present at the date of withdrawal of an employer.

The amount of Council employer contributions to the defined benefit section of the Fund and recognised as an expense for the year ended 30 June 2025 was \$44,157.45. The last valuation of the Fund was performed by Fund Actuary, Richard Boyfield FIAA as at 30 June 2024.

Murray River Council's expected contribution to the plan for the next annual reporting period is \$18,284.87.

E3-1 Contingencies (continued)

The estimated employer reserves financial position for the pooled employees at 30 June 2025 is:

Employer reserves only*	\$millions	Asset Coverage
Assets	2,197.6	
Past Service Liabilities	2,092.0	105.0%
Vested Benefits	2,130.4	103.2%

* excluding other accumulation accounts and reserves in both assets and liabilities

The share of this deficit that is broadly attributed to the Council is estimated to be 0.10% as at 30 June 2024.

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

The key economic long-term assumptions used to calculate the present value of accrued benefits are:

Investment return	6.00% per annum
Salary inflation	3.50% per annum
Increase in CPI	2.50% per annum

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

Please note that the estimated employer reserves financial position above is a preliminary calculation, and once all the relevant information has been received by the Funds Actuary, the final end of year review will be completed by December 2025.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30 June this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

E3-1 Contingencies (continued)

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

(ii) Potential land acquisitions due to planning restrictions imposed by Council

Council has classified a number of privately owned land parcels as local open space or bushland.

As a result, where notified in writing by the various owners, Council will be required to purchase these land parcels.

At reporting date, reliable estimates as to the value of any potential liability (and subsequent land asset) from such potential acquisitions has not been possible.

ASSETS NOT RECOGNISED

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30 June 2008.

(ii) Infringement notices/fines

Fines and penalty income, the result of Council issuing infringement notices is followed up and collected by the Infringement Processing Bureau.

Council's revenue recognition policy for such income is to account for it as revenue on receipt.

Accordingly, at year end, there is a potential asset due to Council representing issued but unpaid infringement notices.

Due to the limited information available on the status, value and duration of outstanding notices, Council is unable to determine the value of outstanding income.

F People and relationships

F1 Related party disclosures

F1-1 Key management personnel (KMP)

The amount of KMP compensation included in Income Statement is:

	2025 \$ '000	2024 \$ '000
Short-term benefits	1,546	1,449
Post-employment benefits	181	151
Other long-term benefits	24	39
Termination benefits	44	–
Total	1,795	1,639

Other transactions with KMP and their related parties

Council has determined that transactions at arm's length between KMP and Council as part of Council delivering a public service objective (e.g. access to library or Council swimming pool by KMP) will not be disclosed.

Nature of the transaction	Transactions during the year \$ '000	Outstanding balances including commitments \$ '000	Terms and conditions	Impairment provision on outstanding balances \$ '000	Impairment expense \$ '000
2025					
Related Employees ¹	141	–	14 Days	–	–
Earthworks ²	247	–	30 Days	–	–
Arborist ³	16	–	30 Days	–	–
2024					
Related Employees ¹	127	–	14 Days	–	–
Earthworks ²	317	–	30 Days	–	–
Arborist ³	19	–	30 Days	–	–
Other ⁴	1	–	30 Days	–	–

F1-1 Key management personnel (KMP) (continued)

- (1) Murray River Council's employee costs for employees which are directly related to a member of the KMP of Council.
- (2) Murray River Council engaged in earthmoving services during the year from two separate business which have a close family member of Council's KMP. Amounts were billed at normal rates for such services and were due and payable under normal payment terms following Council's procurement processes.
- (3) Murray River Council engaged in arborist services during the year from a business which has a close family member of Council's KMP. Amounts were billed at normal rates for such services and were due and payable under normal payment terms following Council's procurement processes.
- (4) Murray River Council purchased general office supplies from a business during the year which has a close family member of Council's KMP. Amounts were billed at normal rates for such services and were due and payable under normal payment terms following Council's procurement processes.

F1-2 Councillor and Mayoral fees and associated expenses

	2025 \$ '000	2024 \$ '000
The aggregate amount of Councillor and Mayoral fees and associated expenses included in materials and services expenses in the Income Statement are:		
Mayoral fee	39	38
Councillors' fees	136	147
Other Councillors' expenses (including Mayor)	171	152
Total	346	337

F2 Other relationships

F2-1 Audit fees

	2025 \$ '000	2024 \$ '000
Audit and other assurance services: Auditors of NSW Council - NSW Auditor-General:		
Audit of financial statements	103	100
Total fees paid or payable to the Auditor-General	103	100

G Other matters

G1-1 Statement of Cash Flows information

(a) Reconciliation of Operating Result

	2025 \$ '000	2024 \$ '000
Net operating result from Income Statement	(2,287)	40,732
Add / (less) non-cash items:		
Depreciation and amortisation	21,918	20,884
(Gain) / loss on disposal of assets	9,465	9,203
Non-cash capital grants and contributions	(10,062)	(31,910)
Amortisation of premiums, discounts and prior period fair valuations		
– Interest exp. on interest-free loans received by Council (previously fair valued)	–	11
Movements in operating assets and liabilities and other cash items:		
(Increase) / decrease of receivables	873	(2,626)
Increase in provision for impairment of receivables	103	40
(Increase) / decrease of inventories	(22)	23
(Increase) of other assets	(1,693)	(1,290)
Increase in payables	3,060	1,372
Decrease in accrued interest payable	–	(1)
Increase / (decrease) in other accrued expenses payable	(715)	410
Increase in other liabilities	29	1,247
Increase / (decrease) in contract liabilities	34	(1,572)
Increase in employee benefit provision	387	423
Increase in other provisions	203	3,313
Net cash flows from operating activities	21,293	40,259

(b) Non-cash investing and financing activities

Developer contributions 'in kind'	9,870	9,982
Other dedications	192	21,928
Total non-cash investing and financing activities	10,062	31,910

G2-1 Commitments

Capital commitments (exclusive of GST)

	2025	2024
	\$ '000	\$ '000

Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

Property, plant and equipment

Road infrastructure	774	623
Bridges	1,881	1,634
Other	1,277	3,550
Wastewater	233	948
Buildings	–	311
Total commitments	4,165	7,066

These expenditures are payable as follows:

Within the next year	4,165	7,066
Total payable	4,165	7,066

Sources for funding of capital commitments:

Unexpended grants	1,993	2,188
Externally restricted reserves	838	1,537
Unrestricted general funds	906	1,846
Future grants and contributions	428	1,495
Total sources of funding	4,165	7,066

Details of capital commitments

Specialised Trucks - \$157k
 Road Maintenance vehicles - \$323k
 Design and Construction of Kiely Road Shared Path - \$5k
 MMA SSU Sewerage Scheme Upgrade Concept Design - \$93k
 Taggle meter installation and setup of DMA's - \$95k
 Sewer Pump Stations 3G to 4G upgrade - \$62k
 River Country Art Trail - \$155k
 Perricoota Road Pavement Design including roundabouts - \$25k
 Design of Barham Sewerage Scheme Upgrade - \$77k
 Meninya Street Detailed Design - \$422k
 Tataila Intersection upgrade - \$5k
 Yarrein Creek Bridge Tooranie Rd - \$1.88m
 Installation of Drainage Infrastructure Clark Court - \$188k
 Supply and Install replacement sections of Watermains - \$548k
 Urban Road Resealing - \$127k

G3-1 Events occurring after the reporting date

Council has not identified any material or significant 'non-adjusting events' that should be disclosed.

G4 Statement of developer contributions

G4-1 Summary of developer contributions

	Opening balance at 1 July 2024 \$ '000	Contributions received during the year			Interest and investment income earned \$ '000	Amounts expended \$ '000	Internal borrowings \$ '000	Held as restricted asset at 30 June 2025 \$ '000	Cumulative balance of internal borrowings (to)/from \$ '000
		Cash \$ '000	Non-cash Land \$ '000	Non-cash Other \$ '000					
Drainage	434	59	–	3,038	25	–	–	518	–
Roads	2,873	554	–	4,074	165	–	–	3,592	–
Open space	451	87	249	399	26	–	–	564	–
Community facilities	229	32	–	–	13	–	–	274	–
Domestic Waste	172	56	–	–	11	–	–	239	–
S7.11 contributions – under a plan	4,159	788	249	7,511	240	–	–	5,187	–
S7.12 levies – under a plan	417	–	–	–	21	–	–	438	–
Total S7.11 and S7.12 revenue under plans	4,576	788	249	7,511	261	–	–	5,625	–
S7.11 not under plans	18	–	–	–	1	–	–	19	–
S64 contributions	3,930	697	–	2,301	225	–	–	4,852	–
Total contributions	8,524	1,485	249	9,812	487	–	–	10,496	–

Under the *Environmental Planning and Assessment Act 1979*, local infrastructure contributions, also known as developer contributions, are charged by councils when new development occurs. They help fund infrastructure like parks, community facilities, local roads, footpaths, stormwater drainage and traffic management. It is possible that the funds contributed may be less than the cost of this infrastructure, requiring Council to borrow or use general revenue to fund the difference.

G4-2 Developer contributions by plan

	Opening balance at 1 July 2024 \$ '000	Contributions received during the year			Interest and investment income earned \$ '000	Amounts expended \$ '000	Internal borrowings \$ '000	Held as restricted asset at 30 June 2025 \$ '000	Cumulative balance of internal borrowings (to)/from \$ '000
		Cash \$ '000	Non-cash Land \$ '000	Non-cash Other \$ '000					
S7.11 contributions – under a plan									
CONTRIBUTION PLAN (former Murray Shire)									
Drainage	413	54	–	2,819	24	–	–	491	–
Roads	2,207	512	–	3,729	131	–	–	2,850	–
Open space	435	80	249	337	25	–	–	540	–
Community facilities	189	28	–	–	11	–	–	228	–
Domestic Waste	169	52	–	–	10	–	–	231	–
Total	3,413	726	249	6,885	201	–	–	4,340	–

G4-2 Developer contributions by plan (continued)

	Opening balance at 1 July 2024 \$ '000	Contributions received during the year			Interest and investment income earned \$ '000	Amounts expended \$ '000	Internal borrowings \$ '000	Held as restricted asset at 30 June 2025 \$ '000	Cumulative balance of internal borrowings (to)/from \$ '000
		Cash \$ '000	Non-cash Land \$ '000	Non-cash Other \$ '000					
CONTRIBUTION PLAN (former Wakool)									
Drainage	21	5	–	219	1	–	–	27	–
Roads	666	42	–	345	34	–	–	742	–
Open space	16	7	–	62	1	–	–	24	–
Community facilities	40	4	–	–	2	–	–	46	–
Waste Management	3	4	–	–	1	–	–	8	–
Total	746	62	–	626	39	–	–	847	–

S7.12 Levies – under a plan

CONTRIBUTION PLAN (former Murray Shire)

Community facilities	417	–	–	–	21	–	–	438	–
Total	417	–	–	–	21	–	–	438	–

G4-3 Contributions not under plans

S94 CONTRIBUTIONS – NOT UNDER A PLAN (former Wakool)

Kerb & Gutter	18	–	–	–	1	–	–	19	–
Total	18	–	–	–	1	–	–	19	–

G4-4 S64 contributions

S64 contributions (former Murray Shire)

Sewer	1,790	240	–	850	101	–	–	2,131	–
Water	1,738	380	–	1,251	103	–	–	2,221	–
Total	3,528	620	–	2,101	204	–	–	4,352	–

S64 contributions (former Wakool)

Sewerage	347	27	–	107	17	–	–	391	–
Water	55	51	–	94	4	–	–	110	–
Total	402	78	–	201	21	–	–	501	–

End of the audited financial statements



INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial statements

Murray River Council

To the Councillors of Murray River Council

Opinion

I have audited the accompanying financial statements of Murray River Council (the Council), which comprise the Statement by Councillors and Management, the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2025, the Statement of Financial Position as at 30 June 2025, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including material accounting policy information and other explanatory information.

In my opinion:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been prepared, in all material respects, in accordance with the requirements of the Division
 - are, in all material respects, consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2025, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Other Information

The Council's annual report for the year ended 30 June 2025 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

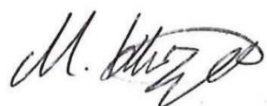
Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements.

Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note B5-1 'Material budget variations'
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.



Michael Kharzoo
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

29 October 2025
SYDNEY



Cr John Harvie
Mayor
Murray River Council
PO Box 906
Moama NSW 2713

Contact: Michael Kharzoo
Phone no: 02 9275 7188
Our ref: FA1763

29 October 2025

Dear Mayor

**Report on the Conduct of the Audit
for the year ended 30 June 2025
Murray River Council**

I have audited the general purpose financial statements (GPFS) of the Murray River Council (the Council) for the year ended 30 June 2025 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed an unmodified opinion on the Council's GPFS.

My audit procedures did not identify any instances of material non-compliance with the financial reporting requirements in Chapter 13, Part 3, Division 2 of the LG Act and the associated regulation or a material deficiency in the Council's accounting records or financial statements. The Council's:

- accounting records were maintained in a manner and form to allow the GPFS to be prepared and effectively audited
- staff provided all accounting records and information relevant to the audit.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2025 is issued in accordance with section 417 of the Act. The Report:

- must address the specific matters outlined in the Local Government Code of Accounting Practice and Financial Reporting 2024-25
- may include statements, comments and recommendations that I consider to be appropriate based on the conduct of the audit of the GPFS.

This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

INCOME STATEMENT

Financial performance

	2025	2024	Variance
	\$m	\$m	%
Rates and annual charges revenue	25.1	21.6	16.2
Grants and contributions provided for operating purposes revenue	18.6	20.2	7.9
Grants and contributions provided for capital purposes revenue	16.6	54.2	69.4
Operating result from continuing operations	(2.3)	40.7	105.7
Net Operating result for the year before grants and contributions provided for capital purposes	(18.9)	(13.5)	40.0

Operating result from continuing operations

This graph shows the operating result from continuing operations for the current and prior two financial years.

Council's operating result from continuing operations for the year was \$43.0 million lower than the 2023–24 result.

In 2024–25:

- Capital grant and contributions decreased by \$37.6 million (69.4 per cent). Further detail are provided under 'grants and contributions revenue' below.
- Depreciation, amortisation and impairment of non-financial assets expense (\$21.9 million) increased by \$1.0 million (5.0 per cent) due to revaluation increments applied in the prior period which caused depreciation increases in the current period.
- Materials and services expenditure (\$26.7 million) increased by \$6.3 million (30.9 per cent) due to Council expensing a number of IT costs related to



intangible assets and accounting software costs during the year.

The net operating result for the year before grants and contributions provided for capital purposes was a deficit of \$18.9 million.

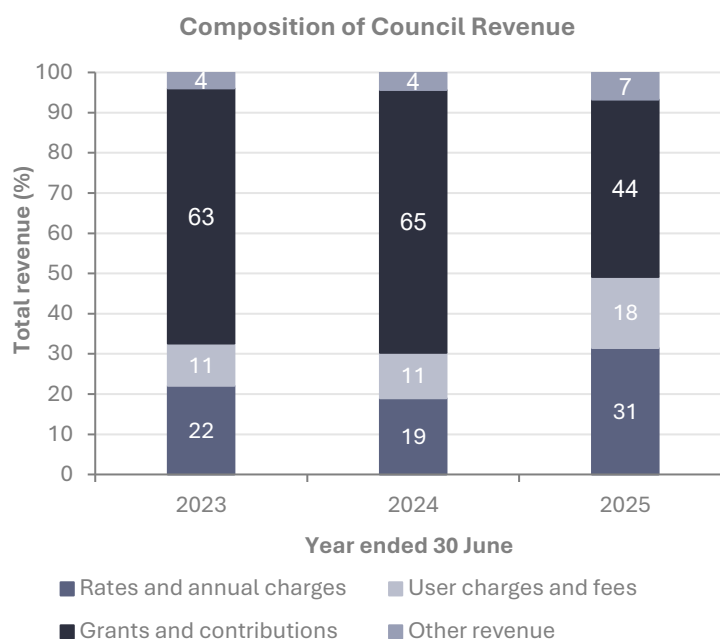
Income

Council revenue

This graph shows the composition of Council's revenue recognised for the current and prior two financial years.

Council revenue (\$79.7 million) decreased by \$34.1 million (30.0 per cent) in 2024–25 due to:

- rates and annual charges revenue increasing by \$3.5 million (16.2 per cent). This was due to the rate peg increase of 4.7% per cent and an increase in annual charges of 28 per cent, due to a new charge for waste services and an increase in water charges.
- user charges and fees revenue increased by \$1.2 million (9.3 per cent), mainly due to an increase in waste management fees.
- grants and contributions revenue (\$35.2 million) which decreased by \$39.2 million (72.3 per cent) – see additional details below.

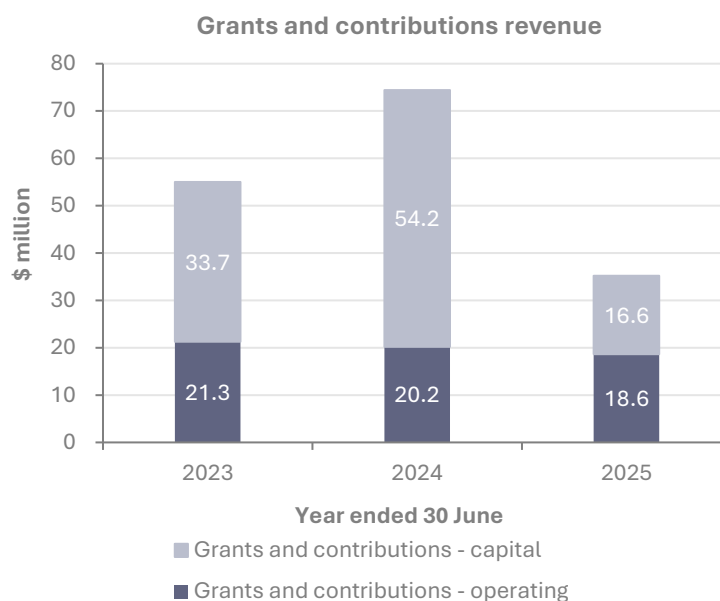


Grants and contributions revenue

This graph shows the amount of grants and contributions revenue recognised for the current and prior two financial years.

Grants and contributions revenue (\$35.2 million) decreased by \$39.2 million (52.7 per cent) in 2024–25 due to:

- a \$36.7 million decrease in capital grants and contributions. This was mainly due to council being gifted Gee Gee bridge on Noorong Road (\$10.5 million) along with contributed roads and bridges during (\$11.4 million) in the prior period. There was also the completion of a facility for the Moama pre-school (\$3.5 million), completed works on flood damage (\$2.8 million) and renewal expenditure on roads and bridges in the prior period (\$8.9 million).
- receiving 50 per cent of the financial assistance grants for 2025-26 in advance (85 per cent for 2024-25)



CASH FLOWS

Statement of cash flows

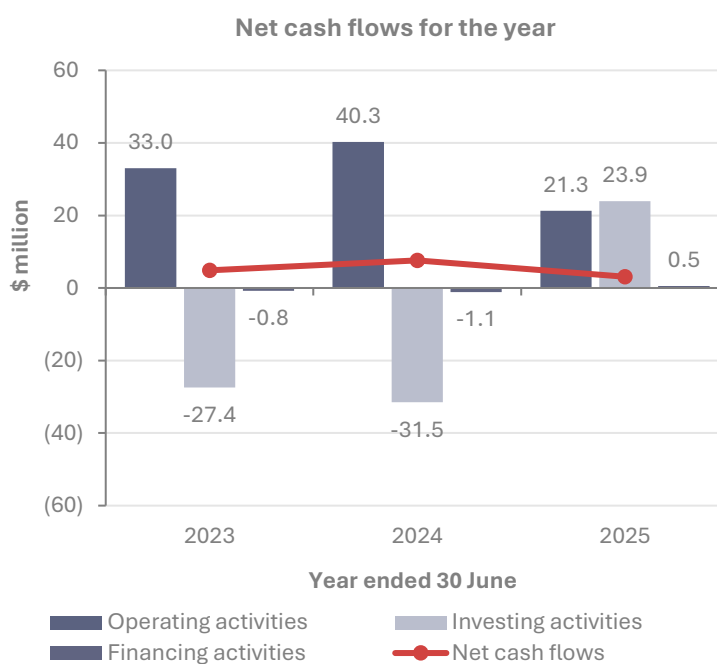
The Statement of Cash Flows details the Council's inflows and outflows of cash over a specific period. It helps in assessing the Council's ability to generate cash to fund its operations, pay off debts, and support future projects. It also aids in identifying any pressures or issues in the Council operating in a financially sustainable manner.

This graph shows the net cash flows for the current and prior two financial years.

The net cash flows for the year were positive \$3.1 million (positive \$7.6 million in 2023-24).

In 2024-25 the net cashflows:

- from operating activities decreased by \$19.0 million, mainly due to the large reduction in grants and contributions discussed above
- used in investing activities decreased by \$7.6 million, mainly due to reduced expenditure on infrastructure, property, plant and equipment in the current period which is in line with the reduction in capital grant revenue due to decreased capital projects
- used in financing activities decreased by \$0.6 million, mainly due to winding down of borrowings and leases balances remaining.



FINANCIAL POSITION

Cash, cash equivalents and investments

This section of the Report provides details of the amount of cash, cash equivalents and investments recorded by the Council at 30 June 2025.

Externally restricted funds are the cash, cash equivalents and investments that can only be used for specific purposes due to legal or contractual restrictions.

Cash, cash equivalents, and investments without external restrictions can be allocated internally by the elected Council's resolution or policy. These allocations are matters of Council policy and can be changed or removed by a Council resolution.

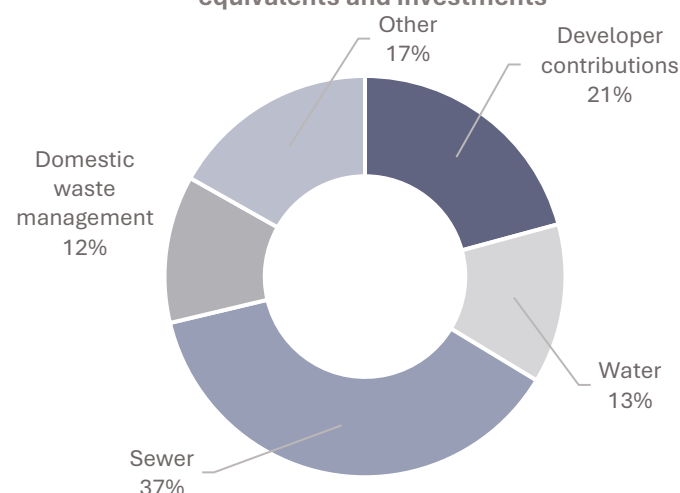
Cash, cash equivalents and investments	2025	2024	Percentage of total cash and investments 2025	Commentary
	\$m	\$m	%	
Total cash, cash equivalents and investments	61.3	58.1		Externally restricted balances are those which are only available for specific use due to a restriction placed by legislation or third-party contract. A breakdown of the sources of externally restricted balances is included in the graph below.
Restricted and allocated cash, cash equivalents and investments:				Internal allocations are determined by council policies or decisions, which are subject to change.
• External restrictions	48.9	44.4	79.8	
• Internal allocations	10.8	9.1	17.6	

This graph shows the sources of externally restricted cash, cash equivalents and investments.

In 2024-25 the Council's main sources of externally restricted cash, cash equivalents and investments include:

- developer contributions of \$10.5 million which increased by \$2.0 million, mainly due to ongoing increases in developments within the Council area
- water fund balance of \$6.3 million which increased by \$2.2 million, mainly due to year-on-year approved charge increase and increases in usage due to dry conditions.
- sewer fund balance of \$18.9 million which increased by \$2.3 million, mainly due to year-on-year approved charges increase.
- domestic waste fund balance of \$5.7 million, which increased by

Source of externally restricted cash, cash equivalents and investments



\$2.4 million, mainly due to year-on-year approved charges increase.

Council liquidity

This graph shows the Council's unrestricted current ratio for the current and prior two financial years.

The unrestricted current ratio is specific to local government and represents council's ability to meet its short-term obligations as they fall due. The ratio measures the ratio of unrestricted current assets to specific purpose liabilities.

In 2023-24, the average unrestricted current ratio was an average of 5.6x for rural councils.

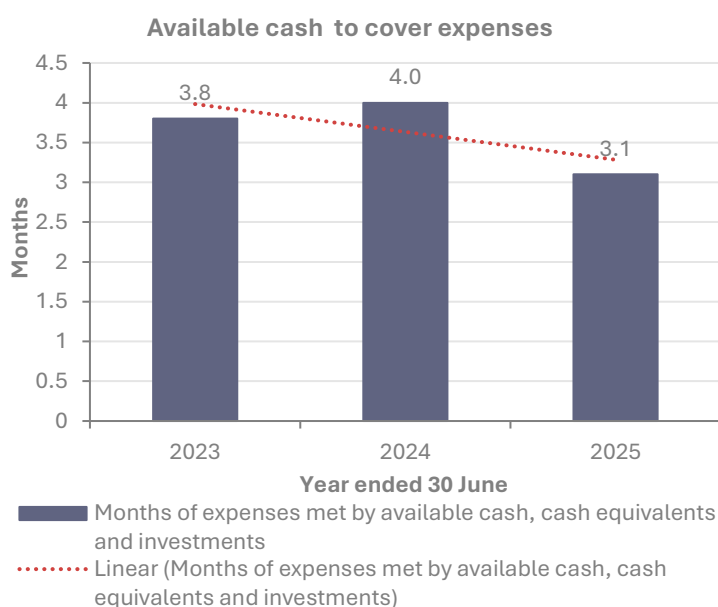
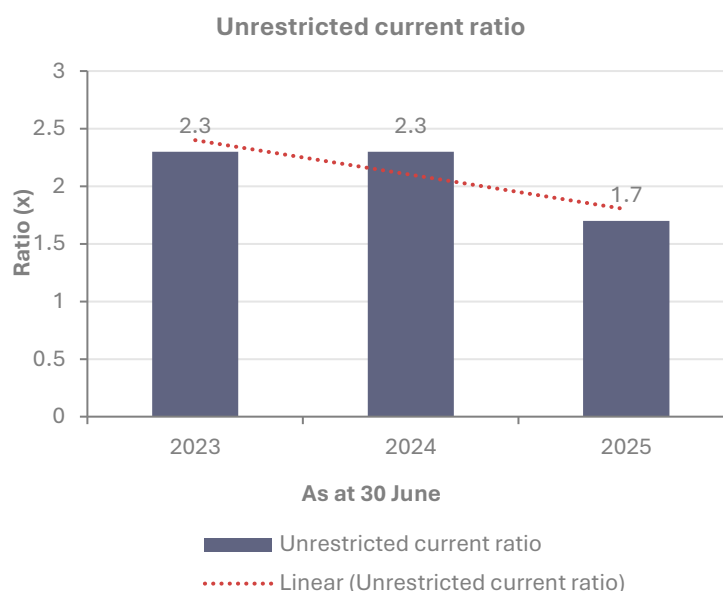
There has been a decline in the unrestricted current ratio over the three periods disclosed due to ongoing increases in the externally restricted cash amounts as explained above, reducing the overall unrestricted balances available to Council.

This graph shows the number of months of general fund expenses (excluding depreciation and borrowing costs), Council can fund from its available cash, cash equivalents and investments (not subject to external restrictions).

Further details on cash, cash equivalents and investments including the sources of external restrictions are included in the section above.

In 2023-24, the available cash to cover expenses was an average of 8 months for rural councils.

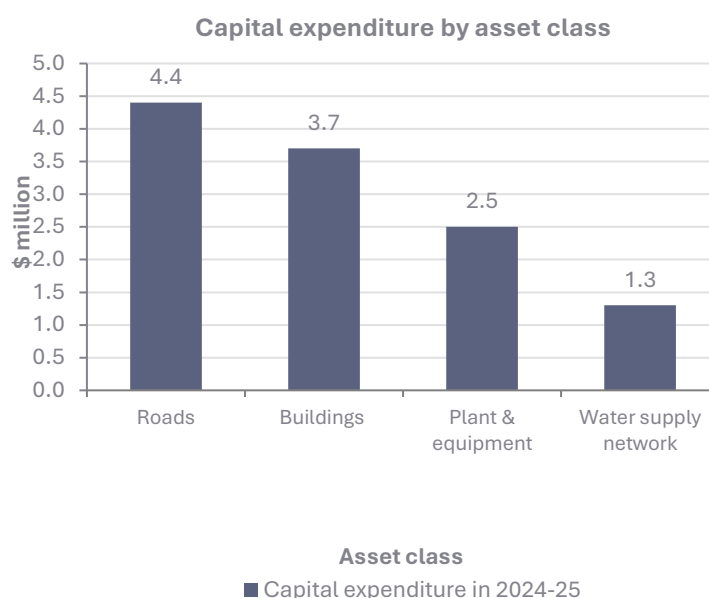
Over the three periods being reported, the available cash to cover expenses has remained relatively consistent.



Infrastructure, property, plant and equipment

This graph shows how much the Council spent on renewing and purchasing assets in 2024-25.

Council renewed \$13.5 million of infrastructure, property, plant and equipment during the 2024-25 financial year. This was mainly spent on roads, and buildings. A further \$5.7 million was spent on new assets including \$2.4 million for the construction of the Moama Landfill Cell 5 and \$338 thousand on the leachate management system.



Debt

The table below provides an overview of the Council's loans and committed borrowing facilities. Committed borrowing facilities are an element of liquidity management and include bank overdrafts, and credit cards.

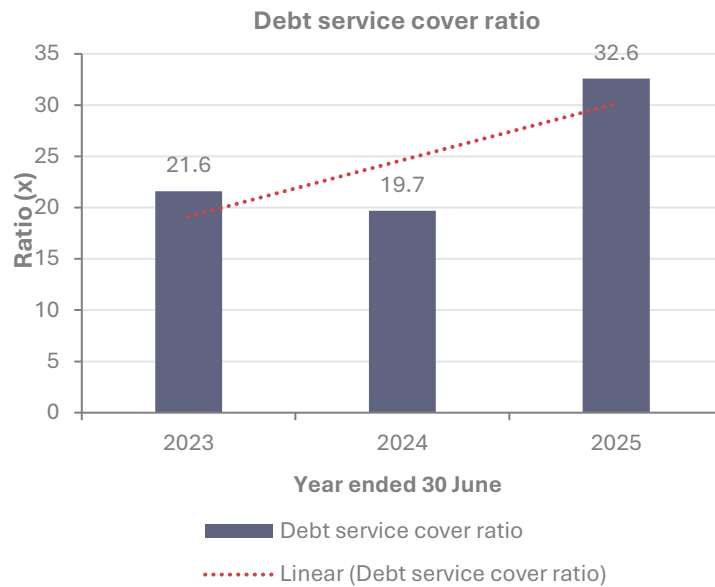
Debt	2025	2024	Commentary
	\$'000	\$'000	
Loans	1,422	1,689	There has been no additional loans entered into by the Council in the current period and the movement between the period is due to the scheduled repayments made by the Council.
Approved overdraft facility	400	400	The Council has made no changes to its approved overdraft facility during period and has not used its drawdown at any time during the period.
Amount drawn down	-	-	
Credit card facility	100	100	The Council has not changed their credit card facility during the year. There are no significant movements on the credit card balances between the periods.
Amount used	21	9	

Debt service cover

This graph shows the Council's debt service cover ratio for the current and prior two financial years.

The debt service cover ratio measures the operating cash to service debt including interest, principal and lease payments.

The ratio has had a significant increase in the current period due to the reduced repayment requirements for borrowings and leases.



Michael Kharzoo
Director – Financial Audit
Delegate of the Auditor-General

Murray River Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2025



Special Purpose Financial Statements

for the year ended 30 June 2025

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Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

Murray River Council

Special Purpose Financial Statements

for the year ended 30 June 2025

Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached special purpose financial statements have been prepared in accordance with:

- NSW Government Policy Statement, *Application of National Competition Policy to Local Government*
- Division of Local Government Guidelines, *Pricing and Costing for Council Businesses: A Guide to Competitive Neutrality*
- The Local Government Code of Accounting Practice and Financial Reporting
- Sections 3 and 4 of the NSW Department of Climate Change, Energy, the Environment and Water's (DCCEEW) *Regulatory and assurance framework for local water utilities, July 2022*

To the best of our knowledge and belief, these statements:

- present fairly the operating result and financial position for each of Council's declared business activities for the year,
- accord with Council's accounting and other records; and
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 28 October 2025.



John Harvie
Mayor

28 October 2025



Neil Gorey
Councillor

28 October 2025



Stacy Williams
Chief Executive Officer

28 October 2025



Julie Moller
Responsible Accounting Officer

28 October 2025

Murray River Council

Income Statement of water supply business activity

for the year ended 30 June 2025

	2025 \$ '000	2024 \$ '000
Income from continuing operations		
Access charges	4,134	3,367
User charges	3,712	3,335
Fees	406	243
Interest and investment income	477	513
Grants and contributions provided for operating purposes	12	–
Other income	208	235
Total income from continuing operations	8,949	7,693
Expenses from continuing operations		
Employee benefits and on-costs	1,276	2,165
Materials and services	3,312	1,951
Depreciation, amortisation and impairment	1,783	1,772
Water purchase charges	130	127
Net loss from the disposal of assets	669	39
Other expenses	3	11
Total expenses from continuing operations	7,173	6,065
Surplus (deficit) from continuing operations before capital amounts	1,776	1,628
Grants and contributions provided for capital purposes	1,858	3,488
Surplus (deficit) from continuing operations after capital amounts	3,634	5,116
Surplus (deficit) from all operations before tax	3,634	5,116
Less: corporate taxation equivalent (25%) [based on result before capital]	(444)	(407)
Surplus (deficit) after tax	3,190	4,709
Plus accumulated surplus	62,072	56,957
Less prior period adjustments	–	(1)
Plus adjustments for amounts unpaid:		
– Corporate taxation equivalent	444	407
Closing accumulated surplus	65,706	62,072
Return on capital %	2.2%	2.1%
Subsidy from Council	1,587	1,699
Calculation of dividend payable:		
Surplus (deficit) after tax	3,190	4,709
Less: capital grants and contributions (excluding developer contributions)	(1,858)	(14)
Surplus for dividend calculation purposes	1,332	4,695
Potential dividend calculated from surplus	666	2,348

Murray River Council

Income Statement of sewerage business activity

for the year ended 30 June 2025

	2025 \$ '000	2024 \$ '000
Income from continuing operations		
Access charges	4,422	3,523
User charges	238	365
Liquid trade waste charges	31	71
Fees	5	3
Interest and investment income	954	817
Other income	104	65
Total income from continuing operations	5,754	4,844
Expenses from continuing operations		
Employee benefits and on-costs	485	937
Materials and services	1,797	909
Depreciation, amortisation and impairment	1,122	1,075
Net loss from the disposal of assets	93	–
Other expenses	–	6
Total expenses from continuing operations	3,497	2,927
Surplus (deficit) from continuing operations before capital amounts	2,257	1,917
Grants and contributions provided for capital purposes	1,328	2,002
Surplus (deficit) from continuing operations after capital amounts	3,585	3,919
Surplus (deficit) from all operations before tax	3,585	3,919
Less: corporate taxation equivalent (25%) [based on result before capital]	(564)	(479)
Surplus (deficit) after tax	3,021	3,440
Plus accumulated surplus	49,149	45,230
Plus adjustments for amounts unpaid:		
– Corporate taxation equivalent	564	479
Closing accumulated surplus	52,734	49,149
Return on capital %	3.5%	3.0%
Subsidy from Council	454	804
Calculation of dividend payable:		
Surplus (deficit) after tax	3,021	3,440
Less: capital grants and contributions (excluding developer contributions)	(1,328)	(78)
Surplus for dividend calculation purposes	1,693	3,362
Potential dividend calculated from surplus	846	1,681

Murray River Council

Income Statement of waste business activity

for the year ended 30 June 2025

	2025 Category 1 \$ '000	2024 Category 1 \$ '000
Income from continuing operations		
Annual charges	3,532	2,439
User charges	5,446	4,623
Grants and contributions provided for operating purposes	(31)	139
Interest and investment income	272	229
Other income	55	125
Total income from continuing operations	9,274	7,555
Expenses from continuing operations		
Employee benefits and on-costs	1,178	1,424
Materials and services	4,416	2,990
Borrowing costs	172	263
Depreciation, amortisation and impairment	1,405	1,233
Other expenses	(7)	13
Net loss/(gain) from the disposal of assets	(842)	39
Total expenses from continuing operations	6,322	5,962
Surplus (deficit) from continuing operations before capital amounts	2,952	1,593
Grants and contributions provided for capital purposes	57	88
Surplus (deficit) from continuing operations after capital amounts	3,009	1,681
Surplus (deficit) from all operations before tax	3,009	1,681
Less: corporate taxation equivalent (25%) [based on result before capital]	(738)	(398)
Surplus (deficit) after tax	2,271	1,283
Plus accumulated surplus	7,889	6,208
Plus adjustments for amounts unpaid:		
– Corporate taxation equivalent	738	398
Closing accumulated surplus	10,898	7,889
Return on capital %	29.6%	13.7%
Subsidy from Council	–	–
Calculation of dividend payable:		
Surplus (deficit) after tax	2,271	1,283
Less: capital grants and contributions (excluding developer contributions)	(57)	(88)
Surplus for dividend calculation purposes	2,214	1,195
Potential dividend calculated from surplus	1,107	597

Murray River Council

Statement of Financial Position of water supply business activity

as at 30 June 2025

	2025 \$ '000	2024 \$ '000
ASSETS		
Current assets		
Cash and cash equivalents	2,978	78
Investments	5,690	5,678
Receivables	2,400	2,195
Total current assets	11,068	7,951
Non-current assets		
Infrastructure, property, plant and equipment	80,846	77,375
Intangible assets	8,082	7,760
Total non-current assets	88,928	85,135
Total assets	99,996	93,086
LIABILITIES		
Current liabilities		
Contract liabilities	87	—
Payables	168	237
Total current liabilities	255	237
Total liabilities	255	237
Net assets	99,741	92,849
EQUITY		
Accumulated surplus	65,706	62,072
IPPE revaluation surplus	34,035	30,777
Total equity	99,741	92,849

Murray River Council

Statement of Financial Position of sewerage business activity

as at 30 June 2025

	2025 \$ '000	2024 \$ '000
ASSETS		
Current assets		
Cash and cash equivalents	5,847	3,095
Investments	15,056	15,034
Receivables	1,090	713
Total current assets	21,993	18,842
Non-current assets		
Infrastructure, property, plant and equipment	65,158	63,270
Total non-current assets	65,158	63,270
Total assets	87,151	82,112
LIABILITIES		
Current liabilities		
Contract liabilities	50	–
Payables	–	20
Total current liabilities	50	20
Total liabilities	50	20
Net assets	87,101	82,092
EQUITY		
Accumulated surplus	52,734	49,149
IPPE revaluation surplus	34,367	32,943
Total equity	87,101	82,092

Murray River Council

Statement of Financial Position of waste business activity

as at 30 June 2025

	2025 Category 1 \$ '000	2024 Category 1 \$ '000
ASSETS		
Current assets		
Cash and cash equivalents	11	107
Investments	5,989	3,449
Receivables	1,280	1,196
Total current assets	7,280	4,752
Non-current assets		
Infrastructure, property, plant and equipment	10,541	13,538
Right of use assets	492	350
Total non-current assets	11,033	13,888
Total assets	18,313	18,640
LIABILITIES		
Current liabilities		
Payables	2	7
Provisions	100	—
Contract liabilities	77	—
Lease liabilities	250	177
Total current liabilities	429	184
Non-current liabilities		
Provisions	4,666	8,798
Lease liabilities	251	182
Total non-current liabilities	4,917	8,980
Total liabilities	5,346	9,164
Net assets	12,967	9,476
EQUITY		
Retained earnings	10,898	7,889
Revaluation reserves	2,069	1,587
Total equity	12,967	9,476

Note – Material accounting policy information

A statement summarising the supplemental accounting policies adopted in the preparation of the special purpose financial statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these special purpose financial statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these special purpose financial statements have been prepared in accordance with the *Local Government Act 1993* (Act), the *Local Government (General) Regulation 2021* (Regulation) and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, fair value of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government. The framework for its application is set out in the June 1996 NSW Government Policy statement titled 'Application of National Competition Policy to Local Government'. *The Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements. These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, and returns on investments (rate of return and dividends paid).

Declared business activities

In accordance with Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

a. Water Supply

Provision and distribution of water to the towns within the boundaries of the Council.

b. Sewerage

Treatment of wastewater to the towns within the boundaries of the Council.

c. Waste Management

Collection and processing of Waste for the towns within the boundaries of the Council.

Category 2

(where gross operating turnover is less than \$2 million)

Council has no Category 2 Businesses.

Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs.

However, where Council does not pay some taxes which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are reflected in Special Purpose Financial Statements.

Note – Material accounting policy information (continued)

For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – **25%**

Land tax – the first \$1,075,000 of combined land values attracts **0%**. For the combined land values in excess of \$1,075,000 up to \$6,571,000 the rate is **\$100 + 1.6%**. For the remaining combined land value that exceeds \$6,571,000 a premium marginal rate of **2.0%** applies.

Payroll tax – **5.45%** on the value of taxable salaries and wages in excess of \$1,200,000.

In accordance with DCCEEW's regulatory and assurance framework, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the regulatory and assurance framework to as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the Act.

Achievement of substantial compliance to the DCCEEW's regulatory and assurance framework is not a prerequisite for the payment of the tax equivalent charges, however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities.

Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested.

Accordingly, the return on capital invested is set at a pre-tax level - gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 25% (2024: 25%).

Income tax is only applied where a gain/ (loss) from ordinary activities before capital amounts has been achieved.

Since the taxation equivalent is notional – that is, it is payable to Council as the 'owner' of business operations - it represents an internal payment and has no effect on the operations of the Council. Accordingly, there is no need for disclosure of internal charges in the SPFS.

The rate applied of 25% is the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Local government rates and charges

A calculation of the equivalent rates and charges for all Category 1 businesses has been applied to all assets owned, or exclusively used by the business activity.

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that council business activities face 'true' commercial borrowing costs in line with private sector competitors.

In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(i) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed. Subsidies occur where Council provides services on a less than cost recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations. The overall effect of subsidies is contained within the Income Statements of business activities.

Note – Material accounting policy information (continued)

(ii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Funds are subsequently available for meeting commitments or financing future investment strategies. The rate of return is disclosed for each of Council's business activities on the Income Statement.

The rate of return is calculated as follows:

Operating result before capital income + interest expense

Written down value of I,PP&E as at 30 June

As a minimum, business activities should generate a return equal to the Commonwealth 10 year bond rate which is 4.16% at 30/6/25.

(iii) Dividends

Council is not required to pay dividends to either itself (as owner of a range of businesses) or to any external entities.

Local government water supply and sewerage businesses are permitted to pay an annual dividend from its water supply or sewerage business surplus.

Each dividend must be calculated and approved in accordance with the Department of Industry – Water guidelines and must not exceed:

- 50% of this surplus in any one year, or
- the number of water supply or sewerage assessments at 30 June 2025 multiplied by \$30 (less the payment for tax equivalent charges, not exceeding \$3 per assessment).

In accordance with DCCEEW's regulatory and assurance framework, statement of compliance and statement of dividend payment, dividend payment form and unqualified independent financial audit report are submitted to DCCEEW.



INDEPENDENT AUDITOR'S REPORT

Report on the special purpose financial statements

Murray River Council

To the Councillors of Murray River Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of Murray River Council's (the Council) Declared Business Activities, which comprise the Statement by Councillors and Management, the Income Statement of each Declared Business Activity for the year ended 30 June 2025, the Statement of Financial Position of each Declared Business Activity as at 30 June 2025 and the material accounting policy information note.

The Declared Business Activities of the Council are:

- water supply
- sewerage
- waste.

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's declared Business Activities as at 30 June 2025, and their financial performance for the year then ended, in accordance with the Australian Accounting Standards described in the material accounting policy information note and the Local Government Code of Accounting Practice and Financial Reporting 2024–25 (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the material accounting policy information note to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2025 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in the material accounting policy information note to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

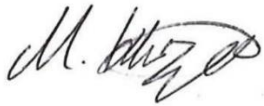
Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements.

Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'M. Kharzoo', with a stylized flourish at the end.

Michael Kharzoo
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

29 October 2025
SYDNEY

Murray River Council

SPECIAL SCHEDULES
for the year ended 30 June 2025



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Murray River Council

Permissible income for general rates

	Notes	Calculation 2024/25 \$ '000	Calculation 2025/26 \$ '000
Notional general income calculation ¹			
Last year notional general income yield	a	12,479	13,431
Plus or minus adjustments ²	b	355	143
Notional general income	c = a + b	12,834	13,574
Permissible income calculation			
Percentage increase	d	4.70%	5.30%
Plus percentage increase amount ³	f = d x (c + e)	603	719
Sub-total	g = (c + e + f)	13,437	14,293
Plus (or minus) last year's carry forward total	h	1	7
Sub-total	j = (h + i)	1	7
Total permissible income	k = g + j	13,438	14,300
Less notional general income yield	l	13,431	14,289
Catch-up or (excess) result	m = k - l	7	11
Carry forward to next year ⁴	p = m + n + o	7	11

Notes

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the *Valuation of Land Act 1916 (NSW)*.
- (3) The 'percentage increase' is inclusive of the rate-peg percentage, and/or special variation and/or Crown land adjustment (where applicable).
- (4) Carry-forward amounts which are in excess (an amount that exceeds the permissible income) require Ministerial approval by order published in the *NSW Government Gazette* in accordance with section 512 of the Act. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule – Permissible income for general rates

Murray River Council

To the Councillors of Murray River Council

Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of Murray River Council (the Council) for the year ending 30 June 2026.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting 2024–25 (LG Code) and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2025 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and Special Schedule 'Report on infrastructure assets' as at 30 June 2025.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements.

Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.

A handwritten signature in black ink, appearing to read 'M. Kharzoo', with a stylized flourish at the end.

Michael Kharzoo
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

29 October 2025
SYDNEY

Murray River Council

Report on infrastructure assets as at 30 June 2025

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2024/25 Required maintenance ^a	2024/25 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	1	2	3	4	5
Buildings	Buildings	24,652	24,652	810	481	78,455	115,767	34.2%	33.2%	11.3%	7.4%	13.9%
	Sub-total	24,652	24,652	810	481	78,455	115,767	34.2%	33.2%	11.3%	7.4%	13.9%
Other structures	Other structures	11,142	11,142	1,299	742	28,170	46,413	29.6%	22.4%	24.0%	19.1%	4.9%
	Sub-total	11,142	11,142	1,299	742	28,170	46,413	29.6%	22.4%	24.0%	19.1%	4.9%
Roads	Sealed roads	24,967	24,967	3,470	2,954	368,257	501,628	53.2%	29.0%	12.9%	3.9%	1.0%
	Unsealed roads	1,625	1,625	3,395	2,230	28,326	53,402	10.8%	22.3%	63.9%	2.9%	0.1%
	Bridges	9,410	9,410	531	8	120,552	151,594	57.0%	30.5%	6.2%	1.3%	4.9%
	Footpaths	29	29	600	510	18,197	23,498	60.7%	36.1%	3.0%	0.1%	0.0%
	Bulk earthworks	8,375	8,375	—	—	159,517	159,517	32.1%	22.3%	40.3%	4.6%	0.6%
	Sub-total	44,406	44,406	7,996	5,702	694,849	889,639	47.7%	27.8%	19.5%	3.4%	1.6%
Water supply network	Water supply network	1,525	1,525	2,790	2,713	69,810	100,904	47.6%	40.8%	9.7%	1.8%	0.1%
	Sub-total	1,525	1,525	2,790	2,713	69,810	100,904	47.6%	40.8%	9.7%	1.8%	0.1%
Sewerage network	Sewerage network	8,699	8,699	1,234	1,196	59,237	87,898	40.4%	36.4%	13.3%	8.5%	1.4%
	Sub-total	8,699	8,699	1,234	1,196	59,237	87,898	40.4%	36.4%	13.3%	8.5%	1.4%
Stormwater drainage	Stormwater drainage	753	753	545	150	59,673	77,920	58.1%	29.7%	11.3%	0.7%	0.2%
	Sub-total	753	753	545	150	59,673	77,920	58.1%	29.7%	11.3%	0.7%	0.2%

Murray River Council

Report on infrastructure assets as at 30 June 2025 (continued)

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2024/25 Required maintenance ^a	2024/25 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000			1	2	3	4	5
Open space / recreational assets	Swimming pools	4,093	4,093	33	—	1,934	4,646	0.0%	11.9%	0.0%	0.0%	88.1%
	Sub-total	4,093	4,093	33	—	1,934	4,646	0.0%	11.9%	0.0%	0.0%	88.1%
	Total – all assets	95,270	95,270	14,707	10,984	992,128	1,323,187	45.9%	29.7%	17.2%	4.4%	2.8%

(a) Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

#	Condition	Integrated planning and reporting (IP&R) description
1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Murray River Council

Report on infrastructure assets as at 30 June 2025

Infrastructure asset performance indicators (consolidated) *

	Amounts 2025 \$ '000	Indicator 2025	Indicators 2024 2023		Benchmark
Buildings and infrastructure renewals ratio					
Asset renewals ¹	13,516	77.02%	131.61%	68.89%	> 100.00%
Depreciation, amortisation and impairment	17,549				
Infrastructure backlog ratio					
Estimated cost to bring assets to a satisfactory standard	95,270	9.40%	5.93%	5.23%	< 2.00%
Net carrying amount of infrastructure assets	1,013,159				
Asset maintenance ratio					
Actual asset maintenance	10,984	74.69%	100.42%	116.14%	> 100.00%
Required asset maintenance	14,707				
Cost to bring assets to agreed service level					
Estimated cost to bring assets to an agreed service level set by Council	95,270	7.20%	6.40%	3.99%	
Gross replacement cost	1,323,187				

(*) All asset performance indicators are calculated using classes identified in the previous table.

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Murray River Council

Report on infrastructure assets as at 30 June 2025

Infrastructure asset performance indicators (by fund)

\$ '000	General fund		Water fund		Sewer fund		Benchmark
	2025	2024	2025	2024	2025	2024	
Buildings and infrastructure renewals ratio							
Asset renewals ¹	80.47%	149.47%	74.59%	43.04%	34.81%	40.90%	> 100.00%
Depreciation, amortisation and impairment							
Infrastructure backlog ratio							
Estimated cost to bring assets to a satisfactory standard	9.62%	5.75%	2.18%	7.33%	14.69%	6.98%	< 2.00%
Net carrying amount of infrastructure assets							
Asset maintenance ratio							
Actual asset maintenance	66.23%	99.96%	97.24%	103.54%	96.92%	99.82%	> 100.00%
Required asset maintenance							
Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council	7.50%	6.55%	1.51%	5.95%	9.90%	5.46%	
Gross replacement cost							

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.